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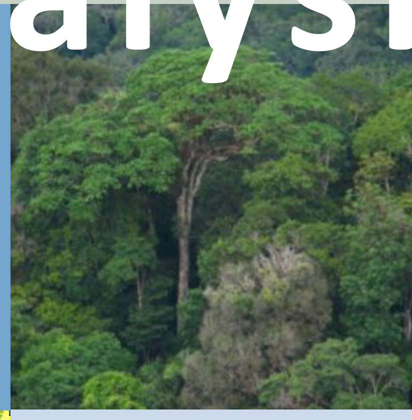
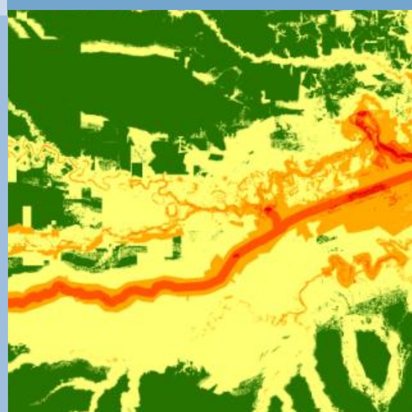
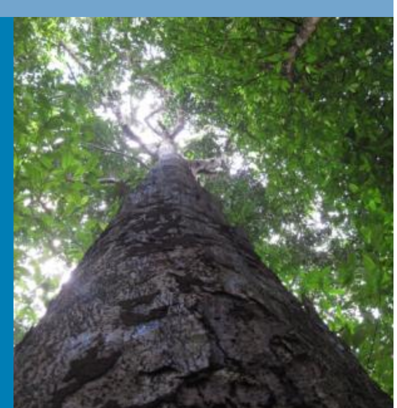
Gap Analysis





A Gap Analysis of the FCPF's Carbon Fund Methodological Framework relative to the VCS Jurisdictional and Nested REDD+ Requirements

Adam Gibbon and Timothy Pearson



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1 BACKGROUND INFORMATION

Increasing efforts to mitigate climate change through reducing deforestation and forest degradation, sustainably managing forests and enhancing forest carbon stocks (collectively referred to as REDD+) are being focused on initiatives that are at the landscape or jurisdictional scale.

Building of the success of their project-focused standards for validating and verifying that emissions reductions have been achieved, the Verified Carbon Standard (VCS) released their Jurisdictional and Nested REDD+ Requirements in October 2012 (JNR Requirements). This followed almost two years of consultative development. The JNR Requirements stipulate the criteria that developers of jurisdictional scale programs must adhere to in order to generate emissions reductions credits, known as Verified Carbon Units (VCUs). The JNR Requirements can also be used as good practice guidance, regardless of interest in crediting.

JNR pilot programs are beginning implementation in national and subnational jurisdictions around the world. These leading governments are among the first to operationalize jurisdictional accounting frameworks that can access results-based finance, using the VCS JNR Requirements.

One such provider of results-based finance is the Forest Carbon Partnership Facility's Carbon Fund. The ambition of the Carbon Fund is to test large-scale (i.e., jurisdiction or eco-region) approaches that mix policies and investments, to create innovative financial structures that are integrated into national development strategies and are underpinned by multi-stakeholder consultative process. The Carbon Fund is designed to pilot performance-based payments for emission reductions from REDD+ programs in a small number of FCPF countries (of which there are currently 36). Payments will be made for verified emissions reductions under an Emissions Reduction Purchase Agreement (ERPA). The Carbon Fund became operational in 2011 and has a capital of about US$390 million.

In December 2013 the Carbon fund released a Methodological Framework (MF). The Methodological Framework is a set of 38 criteria and related indicators, associated with five major aspects of Emission Reductions Programs: level of ambition, carbon accounting, sustainable program design and implementation, and ER Program transactions. The Methodological Framework will be used by Carbon Fund Participants (amongst other selection criteria) to select ER Programs into the Carbon Fund portfolio and to establish the parameters around what constitutes a compensable emission reduction. As such, ER

Programs proposed by REDD+ Countries to the Carbon Fund are expected to demonstrate conformity with the Framework's criteria.

The Carbon Fund provides an opportunity for financing jurisdictional REDD+ programs using the VCS JNR framework. In fact, a number of JNR pilot programs are in the process of applying to the Carbon Fund. The ease with which JNR compliant programs meet the MF's indicators will depend, in part, on the overlap and gaps between the JNR Requirements and the Carbon Fund's MF. This paper explores those gaps and overlaps.

Many national and subnational jurisdictions are seeking to apply the VCS JNR as their core carbon accounting framework, which can be used to meet the needs of multiple sources of demand and finance, including the FCPF Carbon Fund. Due to the limited finance available from any single source (including the Carbon Fund, which is only expected to pay for a portion of emission reductions from any individual REDD+ program), jurisdictions are likely to be motivated to use a standard if it can generally satisfy the requirements associated with a variety of financing pathways. The JNR has the potential to serve as such a core and common platform – providing a detailed framework and guidance to jurisdictions seeking to generate high-quality emission reductions, while keeping their options open with respect to accessing diverse market and non-market funding streams.

However, to be effective as a single accounting framework, the JNR will need to provide guidance or otherwise address potential gaps between the JNR requirements and those associated with key sources of demand and finance like the Carbon Fund. This paper provides specific recommendations and solutions to ensure that a jurisdictional REDD+ program applying the JNR will also be able to meet the Carbon Fund's MF. Similar assessments could be undertaken in the future to determine how the JNR might be used to dock into other emerging sources of demand and finance beyond the voluntary market, potentially including donor funds, the California compliance market, and local domestic and regional markets.

2 APPROACH

The objective of this paper is to identify and detail any gaps between the VCS's Jurisdictional and Nested REDD+ (JNR) Requirements (v3.1)[1] and the Carbon Fund's Methodological Framework (MF) (Final - 20th December 2013 version)[2]. In the analysis section below, we take each MF indicator and ask: would a VCS JNR compliant program be likely to meet it?

In order to answer this question we assessed the JNR requirements to see if the requirement was covered. Where the JNR Requirements did not cover the requirement, only partially covered it, or there was any ambiguity, the AFOLU Requirements, the VCS Program Guide and the VCS Standard were also consulted (see Box 1).

Box 1. How the VCS Program documents work together to form a standard:

In addition to the requirements set out in the JNR Requirements document, jurisdictional programs and nested projects must adhere to all applicable VCS requirements and rules set out in the VCS Program documents. In particular, readers are referred to the VCS Program Guide (v3,5 was used), the VCS Standard (v3.4), the AFOLU Requirements (v3.4) and the Jurisdictional and Nested REDD+ (JNR) Non-Permanence Risk Tool (v3.0). Such rules and requirements apply mutatis mutandis unless otherwise noted in the JNR Requirements. Where the JNR requirements reference the VCS Standard or the AFOLU Requirements and those documents require specific criteria or procedures to be set out in a methodology, such requirements should be read as requirements to be fulfilled in the jurisdictional program description. *(Adapted from the JNR requirements introduction)*

Differences between the JNR standard and the MF indicators are categorized as being "likely compatible", "minor gaps" or "potentially major gaps" (see Table 1 below). The ranking depends on two things. Firstly, the likelihood that a VCS-compliant program would be aligned with the MF criteria. All programs will be designed, documented and implemented in different ways so we used our experience of programs to estimate the likelihood a program would manage to meet the criteria or not. Secondly, we considered the amount of additional work that would be required for a VCS-compliant program to meet the MF indicator. For example, there may be a gap between the criteria, but in order to meet the MF only a small amount of additional documentation might be required. In this case the indicator was scored as likely compatible. Alternatively, if a gap is based on a fundamental process in

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[1] Available for download here: http://www.v-c-s.org/program-documents

[2] Available for download here: https://www.forestcarbonpartnership.org/carbon-fund-methodological-framework

project design or implementation, that would be difficult to add on retrospectively, it was categorized as either a minor or potentially major gap.

It should be noted that at the time of writing there are no published Jurisdictional Program Descriptions, nor any JNR validated programs. Therefore we have used our experience of project level REDD+, and the national/sub national schemes that are currently being designed and piloted. Any JNR program considering applying to the Carbon Fund should carefully check all MF criteria as they apply to their particular program, but we hope this analysis can provide a useful guide to the areas where potential gaps may exist and how jurisdictions might address such gaps.

Table 1: Potential for a gap between a VCS compliant program and an MF indicator.

Rating:	Description
NA	This indicator refers to something that is not relevant to whether or not the program is following JNR requirements.
Fully compatible	All jurisdictional programs meeting the JNR requirements should be fully compatible with this MF indicator.
Likely compatible	A program meeting the JNR requirements would likely be compatible with this MF indicator, or a small amount of additional work would be required to meet the indicator beyond what is required for JNR.
Minor gap	There is a minor gap between the JNR and this MF indicator, or a reasonable amount of additional work would be required to meet the indicator beyond what is required for JNR.
Potentially major gap	There is potentially a major gap between the JNR and this MF indicator, or a significant amount of additional work would be required to meet the indicator beyond what is required for JNR.
Incompatible	Complying with VCS JNR requirements is incompatible with meeting this MF indicator.

After identifying the gaps, we provide recommendations on how the VCS could facilitate harmonisation with the Methodological Framework. These recommendations fall into three categories.

1. Some gaps represented an opportunity for the VCS to add rigor and clarity to the requirements of the JNR standard that would benefit all programs, regardless of whether they will apply to the Carbon Fund or not. Here we suggest changes to the JNR requirements that could be applied to all programs.
2. Some gaps were regarding points very specific to the Carbon Fund or fell outside of the core focus of the VCS standard. In these cases we recommend guidance that the VCS could provide to its programs that are considering applying to the Carbon Fund. The guidance will help

jurisdictions identify potential gaps and ensure that they take any steps necessary to close the gaps in the way they design and implement their program.

3. Finally, some gaps require actions by the VCS but not necessarily any change to documentation at this time. This could include research into ambiguities or seeking clarifications from the Carbon Fund.

It is important to note that the VCS Jurisdictional Requirements (and accompanying VCS standard documentation) tend to go into more detail and are more specific in their requirements compared to the Methodological Framework. In addition, the VCS covers, in depth, subjects that are not considered by the methodological framework such as how to nest emissions accounting between various spatial scales and how to account for leakage emissions. The focus of this paper is on comparing what is in the Methodological Framework with the JNR Requirements, and hence we have not systematically pulled out all the cases where the VCS exceeds the Methodological Framework, although we have noted where this is the case relative to each specific MF indicator.

3 SUMMARY OF FINDINGS

In most cases it was found that the VCS JNR Requirements (and supporting standard documentation, see Box 1) contained significantly more detailed requirements than the Methodological Framework.

The JNR requirements broadly covered the MF indicators, with 85% of MF indicators presenting no or little risk of gaps for JNR-compliant REDD+ programs (see Figure 1). In other words, jurisdictions applying and meeting the JNR requirements will automatically satisfy the vast majority of the MF indicators, with no or minimal additional effort. Out of the 78 MF indicators, there were eight indicators associated with minor gaps and four with potentially major gaps. Two indicators were found not to be applicable and nothing was found to suggest that a JNR-compliant program would certainly fail an MF indicator.

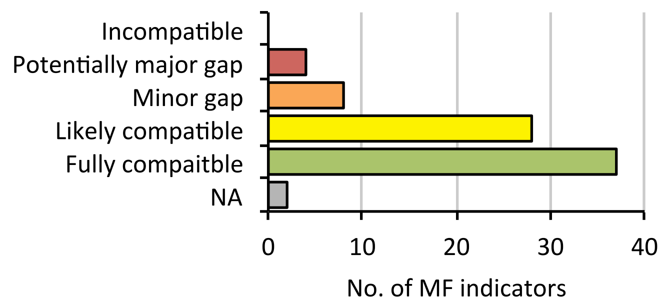

Figure 1: Potential gaps between a VCS compliant program and an MF indicator.

For each of the gaps identified, a recommendation was made to provide additional guidance to jurisdictions and/or for potential revisions to the JNR that would facilitate harmonization. It is expected that the VCS will release additional guidance and updates to the JNR later in 2014 in line with such recommendations.

Table 2 below shows the breakdown of indicator ratings by MF elements. This shows that the compatibility or potential gaps are reasonably well distributed across the MFs elements. Two potentially major gaps are found in the reference levels section, but these both derive from the same root issue.

Table 2: Indicator ratings divided by MF element.

Element	Indicator rating										
Scale and ambition	1.1	1.2	2.1								
Scope and methods	3.1	3.2	3.3	4.1	4.2	5.1	6.1	6.2			
Uncertainties	7.1	7.2	8.1	8.2	9.1	9.2	9.3				
Reference levels	10.1	10.2	10.3	11.1	11.2	12.1	13.1	13.2	13.3	13.4	
Measurement, Monitoring and Reporting on ERs	14.1	14.2	14.3	15.1	16.1						
Accounting for Displacement (Leakage)	17.1	17.2	17.3	17.4							
Accounting for Reversals (Non-permanence)	18.1	18.2	19.1	20.1	20.2	21.1	21.2				
Calculation of ERs	22.0	23.0									
Actions to Meet WB and Cancun Safeguards	24.1	24.2	25.1	25.2	26.1	26.2	26.3				
Drivers, Land and Resource Tenure Assessments	27.1	27.2	28.1	28.2	28.3						
Benefit sharing	29.0	30.1	31.2	32.1	33.1						
Non carbon benefits	34.1	34.2	35.1	35.2							
ERPA Signing Authority and Transfer of Title	36.1	36.2	36.3	37.1	37.2	37.3	37.4	38.1	38.2	38.3	38.4

Four potentially major gaps were identified, these are summarised in Table 3 below.

Table 3: Potentially major gaps identified

Ind.	Gap identified
3.3	The MF requires that degradation is accounted for if significant (>10% emissions). There is no parallel JNR requirement to account for degradation emissions in the accounting area. Regardless of whether degradation emissions may be significant, due to the cost and complexity of measuring them, most REDD+ programs using the JNR are expected to choose not to include degradation in the accounting (although they would be required to account for any deforestation to degradation leakage under the JNR). The VCS should make it clear to jurisdictions applying to the Carbon Fund that they would be required to account for degradation if significant. *See page 15 of this document for additional details.*
13.1	The MF requires that reference levels do not exceed the historical average except in very specific cases. The JNR requirements allow the use of trends and modelling in situations where such approaches can be demonstrated to produce a more plausible baseline than simply relying on historical averages. This could result in a baseline being higher than the historical average. The VCS should make it clear to jurisdictions applying to the Carbon Fund that baseline setting may be limited to using a more-conservative historical average, even where a trend may be more plausible. *See page 30 of this document for additional details.*

13.4	The MF requires that adjustments to reference levels do not exceed the historical average by 0.1% per year in any cases. The JNR requirements do not place any absolute limits on the upward adjustments that can be made to the average annual historical emissions during the Reference Period. The VCS should provide additional guidance on how a jurisdiction may apply adjustments in order to meet the MF requirements. *See page 33 of this document for additional details.*
24.1	The MF requires that WB safeguards are followed. While the JNR requires programs to adhere to the UNFCCC's Cancun safeguards as well as relevant jurisdictional (national and subnational) safeguards, there is no requirement that WB safeguards be met. The VCS should make it clear to jurisdictions applying to the Carbon Fund that they would also need to follow the WB safeguards. *See page 46 of this document for additional details.*

Future changes to the JNR or MF requirements

If the Methodological Framework is updated then ER programs will only be required to meet the new requirements on a voluntary basis (FCPF CF MF p5). Regarding keeping up with the VCS standard modifications, the VCS JNR states, "This document will be updated from time-to-time and readers shall ensure that they are using the most current version of the document." (VCS JNR p4). A draft (not yet public) version of JNR Guidance document states,

> "*New requirements are effective immediately upon release, though a grace period will be provided to allow stakeholders developing jurisdictional programs sufficient time to transition to new requirements. Already registered jurisdictional programs are expected to comply with new requirements when they update their baseline or renew their crediting period. It is acknowledged that a sufficiently long grace period and backward compatibility will be needed especially where jurisdictions have enacted JNR requirements through a decree or legislation which would subsequently need revision*."

It is expected that similar text will be included in future VCS JNR Requirements. This approach to handling updates to the standard is consistent with the VCS's approach for project level activities.

Therefore, as new guidance and or requirements are released by the VCSA, the analysis conducted here should be undertaken again on any areas that have changed.

4 ANALYSIS

FCPF Carbon Fund Meth Framework Indicator 1.1: The ER Program Measures aim to address a significant portion of forest-related emissions and removals.	
Comparable VCS JNR or AFOLU Requirement(s):	
None	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
There is no specific requirement under the VCS JNR Requirements (nor AFOLU requirements) to address a significant portion of emissions through the program activities. Programs are incentivised to do so because that maximise the credits that they can receive if they are successful. It is unlikely that a program would be designed only to address an 'insignificant' portion of forest related emissions.	
Gaps or issues	
○ There is no specific requirement under the JNR to address a significant portion of emissions through the program activities.	
Potential JNR revisions to consider to facilitate harmonization	
○ **Release CF specific guidance**: Programs should demonstrate in their JPD that they are addressing a significant portion of their emissions. *An additional requirement does not seem necessary since* programs *are incentivised to address as much of their emissions as possible in order to maximize the generation of credits (Verified Carbon Units – VCUs). A program that only addresses an "insignificant" portion of emissions is unlikely to exist.*	

FCPF Carbon Fund Meth Framework Indicator 1.2: The ER Program is ambitious, uses new or enhanced ER Program Measures to reduce emissions or enhance removals**,** is undertaken at a jurisdictional scale and/or takes a programmatic approach (i.e., involves multiple land areas, landowners or managers within one or several jurisdictions), and reflects a variety of interventions from the national REDD+ strategy in a coordinated manner.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.5.1-3.5.9	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible

There are no JNR requirements about the ambition and variety of interventions, nor their degree of coordination. However, programs are incentivised to follow these good practices in order to maximise the chances of success. The VCS does require programs to be at the jurisdictional scale (see MF indicator 2.1 below). The wording of this criterion implies that the activities do not need to be undertaken at a jurisdictional scale if a "programmatic approach" has been taken. The VCS has specific rules regarding what constitutes a jurisdictional approach in section 3.5 (see 2.1 below) – and this requires that if multiple jurisdictions are included that they are adjacent (VCS JNR 3.5.5).
Gaps or issues
○ The VCS does not set any requirements about the ambition and variety of interventions, nor their degree of coordination.
Potential JNR revisions to consider to facilitate harmonization
○ **Release CF specific guidance**: Programs should demonstrate their ambition and use a number of coordinated interventions in their JPD.

FCPF Carbon Fund Meth Framework Indicator 2.1: The Accounting Area is of significant scale and aligns with one or more jurisdictions; or a national-government-designated area (e.g., ecoregion) or areas.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.5.1 – 3.5.9	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The MF defines the accounting area as, "*area for which a reference level is established and over which emissions and removals from forests or select REDD+ Activities are being measured, reported and verified consistently*." The JNR Requirements have nine criteria that cover the definition of the jurisdictional program and project location (3.5.1-3.5.9). These go into significantly more detail than the MF. Specific VCS requirements that apply at the time of registration include: 3.5.1 – The national jurisdictional proponent must define (and submit) program boundaries based on political or eco-region boundaries and they must be non-overlapping. 3.5.2 – If there has been no national submission of boundaries, sub-national jurisdictional programs must be political and cannot be based on eco-regions. 3.5.4 – Jurisdiction may not contain gaps except for exceptional conditions (such as inaccessibility, lack of control or areas under dispute) or where areas are affected by large infrastructure, weather or geological events. 3.5.5 – Areas comprised of multiple administrative subdivisions must be adjacent to one another. 3.5.6 - The lowest eligible jurisdictional level is the second administrative level below the national level.	

The JNR does not have any general requirements around scale, although 3.5.6 does set the lowest level of administrative area that can be included. A government defined ecoregion, could be at any scale. Like the MF, the JNR only allows ecoregions if they are defined at the national level (JNR Requirement 3.5.2).
Gaps or issues
○ There is no VCS requirement for jurisdictions to be of a "significant" scale in cases were ecoregions are defined nationally, therefore, there is a low risk that a lower level jurisdictional scale could be deemed as not a significant enough scale for the Carbon Fund.
Potential JNR revisions to consider to facilitate harmonization
○ None. *For an addition to be made to the VCS JNR, a definition of 'significant scale' would be required. This would need to be an absolute area, or a proportion of the area (or forested area) of a country. Making such a definition would be difficult and arbitrary. Programs are incentivized through economies of scale to achieve a large size, and there are no obvious threats to the integrity of the standard if relatively small ecoregion based jurisdictions were defined nationally.*

FCPF Carbon Fund Meth Framework Indicator 3.1: The ER Program identifies which anthropogenic sources and sinks associated with any of the REDD+ Activities will be accounted for in the ER Program.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements*:* 3.9.1-3.9.7	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR Requirements have detailed requirements around the identification and inclusion of carbon pools and sources. In general, the JNR requires that pools/sources are included unless it can be demonstrated that it is conservative to ignore them or they are *de minimus*.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 3.2: The ER Program accounts for emissions from deforestation.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.8.2.1 and 3.11.3.3	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

The JNR Requirements contain the same stipulation that deforestation emissions must be accounted for (3.8.2.1). In addition, the JNR requires that in the baseline all types of deforestation are accounted for (3.11.3.3).
Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ None

FCPF Carbon Fund Meth Framework Indicator 3.3: Emissions from forest degradation are accounted for where such emissions are more than 10% of total forest-related emissions in the Accounting Area, during the Reference Period and during the Term of the ERPA. These emissions are estimated using the best available data (including proxy activities or data).	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.8.2.2, 3.11.3, 3.12.8, AFOLU Requirement 4.5.15	
Potential gap between a VCS compliant program and an MF indicator:	Potentially major gap
There is no JNR requirement that programs include avoided degradation, regardless of the scale of emissions that come from it. However criterion 3.8.2.2 does require that leakage from deforestation to degradation is included: *“Where deforestation is included but degradation is not, procedures shall be established to account for possible leakage from deforestation to degradation, in accordance with Section 3.12.8.”* Furthermore, 3.11.3.3 states that accounting for degradation does not need to be comprehensive (if included): *“Degradation and carbon stock enhancement do not need to be comprehensive, and individual activities may be included. For example, within the category of degradation a jurisdiction may elect to include timber harvesting but not fuelwood collection, or afforestation may be included but not the enhancement of stocks of existing forests.”* If a VCS program were undertaking land-based accounting (as per 3.11.10), is likely that they would *de facto* be including degradation, although as land-based accounting is not yet well defined this is not clear. The VCS AFOLU Requirements state that where harvesting is allowed in the project scenario, the associated emissions must be accounted for (AFOLU Requirement 4.5.15)	
Gaps or issues	
○ There is no JNR requirement to account for degradation emissions if they are significant in the accounting area. There is potentially a major gap that degradation emissions may be significant, but due to the cost and complexity of measuring them, most programs using the JNR are	

expected to choose not to include them in the accounting (although they will be required to account for any deforestation to degradation leakage under the JNR).
Potential JNR revisions to consider to facilitate harmonization
○ **Release CF specific guidance**: Programs that are considering applying to the Carbon Fund should include degradation unless it can be demonstrated to account for less than 10% of the emissions from the accounting area. *However, in reality, a number of prospective REDD+ programs submitting to the Carbon Fund may find it difficult to meet this challenging MF indicator, which may in turn prompt it to be reconsidered as a requirement.*[3] *A requirement to account for significant degradation could be added to the JNR. However, this would increase the technical difficulty and cost of starting a program. The VCS's current approach, of requiring only degradation monitoring from a leakage perspective appears adequate to ensure the integrity of the program without putting unnecessary burdens on jurisdictional programs.*

FCPF Carbon Fund Meth Framework Indicator 4.1: The ER Program accounts for all Carbon Pools and greenhouse gases that are significant within the Accounting Area, both for Reference Level setting and Measurement, Monitoring and reporting (MMR).	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.9.1-3.9.7, 3.14.2	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The VCS has detailed requirements around the identification and inclusion of carbon pools and sources (Criteria 3.9.1-7). In general, the VCS requires that pools/sources are included unless it can be demonstrated that it is conservative to ignore them or they are *de minimus*. The same pools that are selected for the baseline must be monitored (3.14.2)	
Gaps or issues	
None	
Potential JNR revisions to consider to facilitate harmonization	
NA	

[3] The recommendations in this report focus on actions the VCS might take to promote JNR alignment with the MF. However, there are certainly a number of areas where it may make sense to consider future revisions to the MF itself based on the requirements of the JNR and early lessons generated through its piloting.

FCPF Carbon Fund Meth Framework Indicator 4.2: Carbon Pools and greenhouse gases may be excluded if: i. Emissions associated with excluded Carbon Pools and greenhouse gases are collectively estimated to amount to less than 10% of total forest-related emissions in the Accounting Area during the Reference Period; or ii. The ER Program can demonstrate that excluding such Carbon Pools and greenhouse gases would underestimate total emission reductions.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.9.2, 3.9.5, 3.9.6, 3.9.7	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR has comparable requirements for the exclusion of non-significant pools/sources that represent less than 10% of forest emissions (3.9.5, 3.9.6) and where is it demonstrated to be conservative to do so (3.9.2, 3.9.4, 3.9.5, 3.9.7).	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

FCPF Carbon Fund Meth Framework Indicator 5.1: The ER Program identifies the IPCC methods used to estimate emissions and removals for Reference Level setting and Measurement, Monitoring and reporting (MMR).	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: Introduction, 3.1.1, 3.11.9, 3.14.9, 3.14.11, AFOLU Requirements 4.4.1	
Potential gap between a VCS compliant program and an MF indicator:	Minor gap
There are two cases where JNR specifically requires IPCC methods are used. Firstly, JNR requires that land-use changes shall be determined using IPCC's Approach 3 during monitoring (3.14.9). Secondly, accuracy and uncertainty of monitoring must be conducted according to IPCC guidelines. (3.14.11). Beyond these points, JNR makes various references to the use of the latest IPCC methods or default values but only as suggestions rather than requirements. As such, some non-IPCC methods could be used for jurisdictional programs meeting the JNR requirements that would be deemed ineligible under the MF. It should be noted that the IPCC have written a number of documents that constitute methods and within them, they often set requirements around the types of methods that can be used rather than	

prescribing some exact method. This is particularly true for higher tier (more detailed) methods.

Examples of references to IPCC methods in the JNR Requirements:

"As set out in the VCS Standard, default factors and standards used to ascertain GHG emission data and any supporting data for establishing the baseline and demonstrating additionality shall be publicly available from a recognized, credible source, such as IPCC 2006 Guidelines for National GHG Inventories or the IPCC Good Practice Guidance for Land Use, Land-Use Change and Forestry. See the VCS Standard for the full rules and requirements for the use of default factors and standards." (3.1.1)

With regards to activity based accounting, "*Jurisdictions may reference the IPCC 2006 Guidelines for National GHG Inventories to establish procedures for quantifying GHG emissions/removals…*" (3.11.9)

The AFOLU requirements similarly reference IPCC methods as ones that can be used, but they are not mandatory. e.g.

"*The determination and establishment of a baseline scenario shall follow an internationally accepted GHG inventory protocol, such as the IPCC 2006 Guidelines for National GHG Inventories.*" (AFOLU Requirements 4.4.1)

Gaps or issues

- The VCS makes various references to the use of the latest IPCC methods or default values but only as suggestions rather than requirements. As such, some non-IPCC methods could be used for VCS jurisdictional programs that would be deemed ineligible under the MF.

Potential JNR revisions to consider to facilitate harmonization

- **Release additional CF specific guidance**: Programs applying to the Carbon Fund should use IPCC methods to estimate emissions and removals for Reference Level setting and Measurement, Monitoring and reporting (MMR).

The VCS could place a similar restriction on programs and limit them to IPCC methods, but this would reduce innovation amongst program developers and hence may not be an attractive option.

FCPF Carbon Fund Meth Framework Indicator 6.1: The following methodological steps are made publicly available:

- Forest definition

- Definition of classes of forests, (e.g., degraded forest; natural forest; plantation), if applicable

- Choice of activity data, and pre-processing and processing methods

- Choice of emission factors and description of their development

- Estimation of emissions and removals, including accounting approach - Disaggregation of emissions by sources and removal by sinks - Estimation of accuracy, precision, and/or confidence level, as applicable - Discussion of key uncertainties - Rationale for adjusting emissions, if applicable - Methods and assumptions associated with adjusting emissions, if applicable.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Program Description (JPD) Template	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The VCS requires that all information regarding the program's development is published in a Jurisdictional Program Description (JPD). This is a public document that is also audited. Sensitive material from a commercial or program perspective may be excluded from the public JPD but must be included in a private JPD, which is submitted to the VCS (and seen by auditors) (JNR Registration and Issuance Process, 4.1.16). The VCS does not give a definition of "program sensitive information". It would be expected that all the elements above would be included in the public JPD, but there are not specific headings in the template to ensure this.	
Gaps or issues	
○ Whilst the methodological steps that the MF requires to be public are very likely to be included in public JPDs, some may not be presented exactly as required.	
Potential JNR revisions to consider to facilitate harmonization	
○ **Release CF specific guidance:** Program developers should be sure to include in their JPD the specific methodological steps required by the Carbon Fund.	

FCPF Carbon Fund Meth Framework Indicator 6.2: For the following spatial information, maps and/or synthesized data are displayed publicly, and reasonable efforts are made to explain how these were derived from the underlying spatial and other data, and to make key data sets or analyses publicly available: - Accounting Area - Activity data (e.g., forest-cover change or transitions between forest categories) - Emission factors - Average annual emissions over the Reference Period

- Adjusted emissions - Any spatial data used to adjust emissions, if applicable.	
Comparable VCS JNR or AFOLU Requirement(s):	
See 6.1 above.	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
See 6.1 above.	
Gaps or issues	
See 6.1 above.	
Potential JNR revisions to consider to facilitate harmonization	
See 6.1 above.	

FCPF Carbon Fund Meth Framework Indicator 7.1: All assumptions and sources of uncertainty associated with activity data, emission factors and calculation methods that contribute to the uncertainty of the estimates of emissions and removals are identified.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.11.9, 3.11.10, 3.14.9.6, AFOLU Requirements: 4.5.1, 4.5.23	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR Requirements require a program to conduct an assessment of accuracy and uncertainty, following IPCC guidelines (3.14.11). It provides prescriptive thresholds that programs must meet which are elaborated in the VCS Standard. This requirement (3.14.11) is located in the monitoring section of the JNR Requirements. Requirement 3.14.11 further explains the accuracy and uncertainty thresholds that a program must meet when calculating its historical emissions. Furthermore, the AFOLU Requirements also state that when establishing procedures to quantify the GHG emissions or removals for the project or baseline scenario, "*The IPCC Guidelines shall also be followed in terms of quality assurance/quality control (QA/QC) and uncertainty analysis.*" (4.5.1) And that, "*Uncertainty from baseline modelling shall be combined with other sources of uncertainty using valid statistical approaches (e.g. as set out in Chapter 5.2 of the IPCC Good Practice Guidance for LULUCF).*"(4.5.23) Uncertainty requirements are mentioned in the baseline accounting section of the JNR requirements (3.11). For example, when a program is doing activity based accounting, JNR only requires uncertainty to quantified for above-ground biomass. There is no mention of the uncertainty data being required for other pools (3.11.9). The JNR goes on to states, "*Calculated GHG emission and removal factors shall meet the uncertainty requirements set out in the VCS Standard, mutatis mutandis*." It would appear that this	

applies to factors that are derived from field measurements. When land-based accounting is being used the JNR requirements state, "*Such accounting shall meet the uncertainty requirements set out in Section 3.14.11.*" The JNR requirements also note that community based monitoring is allowed and is subject to the same requirements for accuracy and uncertainty assessment as any other method (3.14.9.6).
Gaps or issues
○ The JNR's treatment of uncertainty is a little disjointed throughout the requirements document and difficult to follow due to the references to the VCS standard and subsequent references within that to IPCC and UNFCCC documentation.
Potential JNR revisions to consider to facilitate harmonization
○ **General update to the standard and/or guidance:** The VCS JNR requirements would benefit from a comprehensive treatment of uncertainty, that describes, in one place, what is required of programs during baseline setting and monitoring in terms of thresholds and deductions considering that data may be derived from many different sources (models, sampling, literature etc). This could take the form of a revision to the standard, or as a guidance document. *This consolidating of uncertainty information would be useful for programs regardless of whether they were applying to the Carbon Fund.*

FCPF Carbon Fund Meth Framework Indicator 7.2: The sources of uncertainty identified in Indicator 7.1 are assessed for their relative contribution to the overall uncertainty of the emissions and removals.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.11	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR requires that, "*An assessment of accuracy and uncertainty shall be presented, following IPCC guidelines. Such assessment shall clearly state the assumptions, parameters and procedures that have significant uncertainty, and describe how such uncertainty shall be addressed.*" (3.14.11) See MF 7.1 above for more details. Uncertainty and accuracy thresholds are set by the JNR Requirements (3.14.11).	
Gaps or issues	
○ See MF 7.1 above.	
Potential JNR revisions to consider to facilitate harmonization	

○ See MF 7.1 above.

FCPF Carbon Fund Meth Framework Indicator 8.1: Systematic errors are minimized through the implementation of a consistent and comprehensive set of standard operating procedures, including a set of quality assessment and quality control processes that work within the local circumstances of the ER Program.	
Comparable VCS JNR or AFOLU Requirement(s):	
AFOLU Requirement: 4.5.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
Although not mentioned specifically in the JNR Requirements, the AFOLU Requirements state, *"The IPCC Guidelines shall also be followed in terms of quality assurance/quality control (QA/QC) and uncertainty analysis."* (AFOLU Requirement 4.5.1) Thus systematic errors would need to be minimized.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

FCPF Carbon Fund Meth Framework Indicator 8.2: Random errors and other uncertainties are minimized to the extent practical based on the assessment of their relative contribution to the overall uncertainty of the emissions and removals.	
Comparable VCS JNR or AFOLU Requirement(s):	
AFOLU Requirement: 4.5.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
Although not mentioned specifically in the JNR Requirements, the AFOLU Requirements state, *"The IPCC Guidelines shall also be followed in terms of quality assurance/quality control (QA/QC) and uncertainty analysis."* (AFOLU Requirement 4.5.1) Thus random errors would need to be minimized.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	

- None

FCPF Carbon Fund Meth Framework Indicator 9.1: Uncertainty associated with activity data and emission factors is quantified using accepted international standards, for example by providing accuracy, confidence interval, distribution of error, and propagation of error. Where errors in data and methods are considered large as defined in IPCC Guidelines, Monte Carlo methods (numerical simulations) should be used to estimate uncertainty.
Comparable VCS JNR or AFOLU Requirement(s):
JNR Requirements: 3.11.9, 3.11.10, 3.14.9.6, AFOLU Requirements: 4.5.1, 4.5.23
Potential gap between a VCS compliant program and an MF indicator: — Minor gap
The JNR and AFOLU Requirements require uncertainty to be quantified and set thresholds which rely on confidence intervals and use "recognised statistical approaches" (VCS Standard 4.1.4). The VCS however does not require that Monte Carlo approaches are used for propagating uncertainty when the errors (or uncertainties) are large. Therefore this criterion is only partially met. See 9.2 below for a more detailed discussion of the use of Monte Carlo simulations.
Gaps or issues
○ Following IPCC recommendations and JNR requirements, a program may choose not to do a Monte Carlo simulation for error propagation, even when the errors are large.
Potential JNR revisions to consider to facilitate harmonization
○ **Release CF specific guidance:** Programs that have large errors in data and methods (as defined by IPCC) should use Monte Carlo methods. *The VCS could also require the use of Monte Carlo Simulations where errors are large to improve the quality of uncertainty propagation; this would improve the stringency of the standard. However, such simulations can be complex and require specialist software, which is why the IPCC allows an alternative approach similar to JNR treatment.*

FCPF Carbon Fund Meth Framework Indicator 9.2: Uncertainty of the estimate of Emission Reductions is quantified using Monte Carlo methods. Underlying sources of error in data and methods for integrated measurements of deforestation, forest degradation and enhancements (e.g., as in a national forest inventory) are combined into a single combined uncertainty estimate and are reported at the two-tailed 90% confidence level.
Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.11.9, 3.11.10, 3.14.9.6, AFOLU Requirements: 4.5.1, 4.5.23	
Potential gap between a VCS compliant program and an MF indicator:	Minor gap
The JNR and AFOLU Requirements require uncertainty to be quantified and set thresholds which rely on confidence intervals and use “*recognised statistical approaches*” (VCS Standard 4.1.4). The JNR however does not require that Monte Carlo approaches are used to propagating uncertainty when the errors (or uncertainties) are large. The IPCC does not require that Monte Carlo simulations are used where large uncertainties exist, but does recommend that where uncertainty is large or asymmetric that a simple error propagation is not used, but rather a ‘corrected’ propagation *or* Monte Carlo approach is used[4].	
Gaps or issues	
○ See MF indicator 9.1 above.	
Potential JNR revisions to consider to facilitate harmonization	
○ See MF indicator 9.1 above.	

FCPF Carbon Fund Meth Framework Indicator 9.3: Uncertainty of Emissions Reductions associated with deforestation, forest degradation and enhancements are reported separately if measured through separate (i.e., non-integrated) approaches and when degradation is estimated using proxy data.	
Comparable VCS JNR or AFOLU Requirement(s):	
See 9.1 and 9.2 above.	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
Since the VCS requires comprehensive uncertainty reporting, it would be necessary to present the uncertainty of each component and then integrate them to arrive at a final overall answer.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

[4] See 3.2.3.1 here: http://www.ipcc-nggip.iges.or.jp/public/2006gl/pdf/1_Volume1/V1_3_Ch3_Uncertainties.pdf

FCPF Carbon Fund Meth Framework Indicator 10.1: The Reference Level is expressed in tonnes of carbon dioxide equivalent per year.	
Comparable VCS JNR or AFOLU Requirement(s):	
VCS standard 4.8.3	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
Tonnes CO_2 is the reporting unit of the VCS.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

FCPF Carbon Fund Meth Framework Indicator 10.2: The ER Program explains how the development of the Reference Level can inform or is informed by the development of a national Forest Reference Emission Level or Forest Reference Level, and explains the relationship between the Reference Level and any intended submission of a Forest Reference Emission Level or Forest Reference Level to the UNFCCC.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirement 3.11.12	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
If the jurisdiction has a baseline or reference level that has been approved by the UNFCCC for use in market mechanisms this *may* be used for the jurisdictional REDD+ program (3.11.12.1). Therefore, as written, the JNR rules do not preclude a jurisdiction who has a UNFCCC-approved market mechanism baseline discarding it in favour of a less conservative one that is created in accordance with the requirements in 3.11.11. The VCS Association was consulted on this matter and they confirmed that this requirement was going to be tightened up so that if a baseline or reference level has been approved by the UNFCCC for use in market mechanisms that is *must* be used. Where such a baseline/reference level has been submitted to, but not approved, by the UNFCCC the baseline *shall* be compared to the jurisdictional baseline calculated using VCS methods, and the most conservative adopted. JNR criterion 3.11.15 requires jurisdictional baselines to be updated, harmonised and revalidated (within 18 months) if a UNFCCC baseline is approved after the baseline is registered with the VCS.	
Gaps or issues	

- The JNR Requirements currently contain a loophole that could allow UNFCCC approved baselines to be discarded.
- Under the JNR requirements there is no obligation to explain how the baseline developed for the VCS will inform any future UNFCCC baselines.

Potential JNR revisions to consider to facilitate harmonization

- **General update to the standard and/or guidance:** The VCS Association is already planning to amend the text to require any UNFCCC approved baseline to be used if it exists.
- **Release CF specific guidance**: Programs should explain in their JPD any links to other baselines being developed at higher or lower jurisdictional scales and how this work will influence such baseline development in the future.

The VCS could require that baselines are developed in coordination with any other initiatives developing a baseline that will be submitted to the UNFCCC. They could also require an explanation of how baseline development under the JNR program is influencing other national/sub-national efforts. However the VCS may choose that this is something that should be encouraged, rather than required.

FCPF Carbon Fund Meth Framework Indicator 10.3: The ER Program explains what steps are intended in order for the Reference Level to achieve consistency with the country's existing or emerging greenhouse gas inventory.

Comparable VCS JNR or AFOLU Requirement(s):

NA

Potential gap between a VCS compliant program and an MF indicator:	Likely compatible

There are no JNR requirements to explain what steps are intended in order for the Reference Level to achieve consistency with the country's existing or emerging greenhouse gas inventory. See MF indicator 10.2 above for an explanation of what the JNR does and does not require relative to harmonising baseline approaches between those submitted to the VCS and those submitted and approved under the UNFCCC.

Gaps or issues

- There are no JNR requirements to explain what steps are intended in order for the Reference Level to achieve consistency with the country's existing or emerging greenhouse gas inventory.

Potential JNR revisions to consider to facilitate harmonization

- **Release CF specific guidance:** Programs applying to the Carbon Fund should explain what steps are intended in order for the Reference Level to achieve consistency with the country's existing or emerging greenhouse gas inventory.

The VCS could require this for all programs and thus include it in the JNR requirements. It would provide comfort that the program is being considered in the wider context of climate mitigation strategies in the country and hence more likely to be sustainable in the long term.

FCPF Carbon Fund Meth Framework Indicator 11.1: The end-date for the Reference Period is the most recent date prior to 2013 for which forest-cover data is available to enable IPCC Approach 3. An alternative end-date could be allowed only with convincing justification, e.g., to maintain consistency of dates with a Forest Reference Emission Level or Forest Reference Level, other relevant REDD+ programs, national communications, national ER program or climate change strategy.

Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.3.1, 3.11.7.4, 3.11.7.6, 3.11.11.1

Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

The JNR Requirements contain references that relate to the reference period in two places.

Firstly, criterion 3.11.7.4, which requires that, in cases where activity based approach is being used historical data must be gathered from within "last 10 years". Furthermore, the most recent point in time used in the historical analysis must be within two years of the start date of the (current) jurisdictional period.

Secondly, criterion 3.11.11.1, sets the periods over which proponents must use to develop baselines:

"*a) The historical annual average GHG emissions or removals over the period of 8 to 12 years ending within two years of the start of the current jurisdictional baseline period;*

b) The historical trend of GHG emissions or removals (which may be increasing or decreasing) based on changes over at least the 10 years ending within two years of the start of the current jurisdictional baseline period."

It should be noted that the JNR time references are relative to the start data of the jurisdictional baseline period. The start date could be backdated to as early as 1st January 2006.

Given these requirements, a JNR compliant program could be ineligible under MF indicator 11.1 if it starts in 2014 and the end date of the reference period is in 2014 (i.e. not prior to 2014 as required by the MF)

However, it is likely that it could be argued this was necessary to maintain consistency of dates as allowed by the clause in the criterion.

Gaps or issues

- None

Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 11.2: The start-date for the Reference Period is about 10 years before the end-date. An alternative start-date could be allowed only with convincing justification as in Indicator 11.1, and is not more than 15 years before the end-date.	
Comparable VCS JNR or AFOLU Requirement(s):	
3.3.1, 3.11.7.4, 3.11.11.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
Please see the analysis in MF indicator 11.1 above for a summary of the JNR requirements relative to start and end dates of the reference period. There are no circumstances where the start date of a JNR reference period could be greater than 15 years before the end date.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 12.1: The definition of forest used in the construction of the Reference Level is specified. If there is a difference between the definition of forest used in the national greenhouse gas inventory or in reporting to other international organizations (including an Forest Reference Emission Level or Forest Reference Level to the UNFCCC) and the definition used in the construction of the Reference Level, then the ER Program explains how and why the forest definition used in the Reference Level was chosen (UNFCCC SBSTA 12/CP.17 Annex Para. 4).	
Comparable VCS JNR or AFOLU Requirement(s):	
AFOLU Requirements: 4.2.5	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The JNR Requirements do not specifically cover the forest definition that must be used, or require that this is specified. Doing so however would be a necessary step in any analysis of historical deforestation related emissions. The AFOLU Requirements state, *"The project area shall meet an internationally accepted definition of forest, such as those based on*	

UNFCCC host-country thresholds or FAO definitions, and shall qualify as forest for a minimum of 10 years before the project start date. The definition of forest may include mature forests, secondary forests, and degraded forests. Under the VCS, secondary forests are considered to be forests that have been cleared and have recovered naturally and that are at least 10 years old and meet the lower bound of the forest threshold parameters at the start of the project. Forested wetlands, such as floodplain forests, peatland forests and mangrove forests, are also eligible provided they meet the forest definition requirements mentioned above." (4.2.50) There is no JNR requirement to explain any difference between the definition of forest used in the national greenhouse gas inventory or in reporting to other international organizations (including an Forest Reference Emission Level or Forest Reference Level to the UNFCCC) and the definition used in the construction of the Reference Level.
Gaps or issues
○ There is no JNR requirement to explain any difference between the definition of forest used in the national greenhouse gas inventory or in reporting to other international organizations (including a Forest Reference Emission Level or Forest Reference Level to the UNFCCC) and the definition used in the construction of the Reference Level.
Potential JNR revisions to consider to facilitate harmonization
○ **General update to the standard and/or guidance:** The JNR could require programs to explain any difference between the definition of forest used in the national greenhouse gas inventory or in reporting to other international organizations (including a Forest Reference Emission Level or Forest Reference Level to the UNFCCC) and the definition used in the construction of the Reference Level. *This would be useful information to highlight any gaps and potential future incompatibilities between the program and REDD+ efforts at the national level.*

FCPF Carbon Fund Meth Framework Indicator 13.1: The Reference Level does not exceed the average annual historical emissions over the Reference Period, unless the ER Program meets the eligibility requirements in Indicator 13.2. If the available data from the National Forest Monitoring System used in the construction of the Reference Level shows a clear downward trend, this should be taken into account in the construction of the Reference Level.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirement: 3.11.11	
Potential gap between a VCS compliant program and an MF indicator:	Potentially major gap
The JNR Requirements include flexibility in how reference levels are defined (within the bounds of	

certain criteria), but there is no absolute requirement against the reference level exceeding the historical average. The specific circumstances in which this would be allowed are discussed relative to MF 13.2 below. There is a potential major gap that REDD+ programs (and nested projects) applying JNR will select a baseline, based on trends or modelling that does not conform to this MF indicator. There is no JNR requirement to use National Forest Monitoring System data for deriving the baseline, although JNR Requirement 3.11.11.1b does require programs to present a baseline based on historical trends as one of the 'alternative baselines' that proponents need to present for consideration. If a downward trend were revealed, this would need to be considered when choosing the most plausible baseline.
Gaps or issues
○ The JNR requirements allow the use of trends and modeling that could result in a baseline being higher than the historical average if the alternative approach was demonstrated to produce the most plausible baseline.
Potential JNR revisions to consider to facilitate harmonization
Release CF specific guidance: Programs applying to the Carbon Fund should ensure the Reference Level does not exceed the average annual historical emissions over the Reference Period, unless: i. Long-term historical deforestation has been minimal across the entirety of the country, and the country has high forest cover, ii. National circumstances have changed such that rates of deforestation and forest degradation during the historical Reference Period likely underestimate future rates of deforestation and forest degradation during the Term of the ERPA, and iii. there is documented and quantifiable evidence that emissions would increase. In such cases, an adjustment of the Reference Level above the average annual historical emissions during the Reference Period may not exceed 0.1%/year of Carbon Stocks. *The VCS's approach allows for higher baselines than the MF. In this perspective the MF is more stringent. However, it is not to say that MF baselines will be more accurate, they may actually be less accurate if they are constrained by an arbitrary cap on the increase in the face of strong evidence favouring a higher rate. The VCS could consider an absolute cap on increases above historical emissions, but this would be a radical departure from the approach that is currently taken, which focuses on transparently and robustly deriving what can be agreed upon as the most plausible baseline. Such a cap risks making programs in areas that do demonstrably face higher threats now than in the past unfeasible, potentially excluding them from participating in REDD+ programs and shutting off incentives that could help tackle deforestation.*

FCPF Carbon Fund Meth Framework Indicator 13.2: The Reference Level may be adjusted upward above average annual historical emissions if the ER Program can demonstrate to the satisfaction of the Carbon Fund that the following eligibility requirements are met: i. Long-term historical deforestation has been minimal across the entirety of the country, and the country has high forest cover; ii. National circumstances have changed such that rates of deforestation and forest degradation during the historical Reference Period likely underestimate future rates of deforestation and forest degradation during the Term of the ERPA	
Comparable VCS JNR or AFOLU Requirement(s):	
3.11.11	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR requirements (3.11.11) allow a baseline that was above the historical average to be used. This is permitted when the historical trend was upwards (3.11.11.1b), or where modelled adjustments have been made (3.11.11.2) and the baseline can be demonstrated as being the most plausible (relative to a historical average approach or historical trend approach). The two eligibility criteria described in MF 13.2 above would be met in such cases. However, please see the analysis related to MF 13.4 below which caps the extent of this upward adjustment.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 13.3: For countries meeting the eligibility requirements in Indicator 13.2, a Reference Level could be adjusted above the average historical emission rate over the Reference Period. Such an adjustment is credibly justified on the basis of expected emissions that would result from documented changes in ER Program circumstances, evident before the end-date of the Reference Period, but the effects of which were not fully reflected in the average annual historical emissions during the Reference Period. Proposed adjustments may be rejected for reasons including, but not limited to: i. The basis for adjustments is not documented; or ii. Adjustments are not quantifiable.
Comparable VCS JNR or AFOLU Requirement(s):

3.11.11	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR Requirements (3.11.11) would require that any adjustments were well documented and quantifiable.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

FCPF Carbon Fund Meth Framework Indicator 13.4: An adjustment of the Reference Level above the average annual historical emissions during the Reference Period may not exceed 0.1%/year of Carbon Stocks.	
Comparable VCS JNR or AFOLU Requirement(s):	
3.11.11	
Potential gap between a VCS compliant program and an MF indicator:	Potentially major gap
The VCS JNR requirements do not place any absolute limits on the upward adjustments that can be made to the average annual historical emissions during the Reference Period.	
Gaps or issues	
○ The VCS JNR requirements do not place any absolute limits on the upward adjustments that can be made to the average annual historical emissions during the Reference Period.	
Potential JNR revisions to consider to facilitate harmonization	
○ See recommendation for MF indicator 13.1 *The VCS's approach allows for higher baselines than the MF. In this perspective the MF is more stringent. However, it is not to say that MF baselines will be more accurate, they may actually be less accurate if they are constrained by an arbitrary cap on the increase in the face of strong evidence favouring a higher rate. The VCS could consider an absolute cap on increases above historical emissions, but this would be a radical departure from the approach that is currently taken, which focuses on transparently and robustly deriving what can be agreed upon as the most plausible baseline. Such a cap risks making programs in areas that do demonstrably face higher threats now than in the past unfeasible, potentially excluding them from participating in REDD+ programs and shutting off incentives that could help tackle deforestation..*	

FCPF Carbon Fund Meth Framework Indicator 14.1: The ER Program monitors emissions by sources and removals by sinks included in the ER Program's scope (Indicator 3.1) using the same methods or demonstrably equivalent methods to those used to set the Reference Level.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirement 3.14.2	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR Requirement 3.14.2 covers this criterion. It states, *"Jurisdictions shall monitor the activities and carbon pools that were selected in the jurisdictional baseline using the same or demonstrably equivalent methods to those used to set such baseline."*	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 14.2: Activity data are determined periodically, at least twice during the Term of the ERPA, and allow for ERs to be estimated from the beginning of the Term of the ERPA. Deforestation is determined using IPCC Approach 3. Other sinks and sources such as degradation may be determined using indirect methods such as survey data, proxies derived from landscape ecology, or statistical data on timber harvesting and regrowth if no direct methods are available.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.8, 3.14.9.1, 3.14.9.2	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The JNR requirements state that monitoring and verification must occur at least every 5 years (3.14.8). A program using the maximum 5-year spacing, may or may not achieve two activity data monitoring events, depending upon the length of the ERPA. The JNR also requires IPCC approach three to be used for deforestation (3.14.9.1), whilst degradation can use indirect methods (3.14.9.2).	
Gaps or issues	

○ A program using the maximum 5-year spacing, may or may not achieve two activity data monitoring events, depending upon the length of the ERPA.
Potential JNR revisions to consider to facilitate harmonization
○ **Release CF specific guidance:** A JNR program pursuing a Carbon Fund ERPA should design its monitoring frequency to comply with the requirement for two events during the ERPA period.

FCPF Carbon Fund Meth Framework Indicator 14.3: Emission factors or the methods to determine them are the same for Reference Level setting and for Monitoring, or are demonstrably equivalent. IPCC Tier 2 or higher methods are used to establish emission factors, and the uncertainty for each emission factor is documented. IPCC Tier 1 methods may be considered in exceptional cases.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.9.5	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
JNR Requirement 3.14.9.5 states, *"IPCC Tier 2 or higher methods shall be used to establish GHG emission factors, and jurisdictions shall document the precision level for each emissions factor. Defaults (eg, IPCC or those established in the scientific literature) may be used for carbon pools representing less than 15 percent of total carbon stocks. Emission factors used in monitoring shall be consistent with those used to set the baseline."* This almost covers the MF indicator. The MF indicator only allows IPCC Tier 1 methods in "exceptional cases", whereas the JNR allows their use when "*used for carbon pools representing less than 15 percent of total carbon stocks".* This may or may not be deemed exceptional circumstances by the Carbon Fund. Note that defaults can also be Tier 2 if they can be shown to be country-specific.	
Gaps or issues	
○ The MF indicator only allows IPCC Tier 1 methods in "exceptional cases", whereas the JNR allows their use in "*used for carbon pools representing less than 15 percent of total carbon stocks".* This may or may not be deemed exceptional circumstances by the Carbon Fund.	
Potential JNR revisions to consider to facilitate harmonization	
○ **General update to the standard and/or guidance:** The VCS could require an explanation of why IPCC Tier 2 or higher cannot be used to establish emission factors in all cases, or go further and require, like the MF that exceptional circumstances must be demonstrate before Tier 1 sources are reverted to.	

FCPF Carbon Fund Meth Framework Indicator 15.1: ER Programs articulate how the Forest Monitoring System fits into the existing or emerging National Forest Monitoring System, and provides a rationale for alternative technical design where applicable.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: None	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
There is no JNR requirement to explain the relationship between monitoring for the JNR program and any emerging or existing National Forestry System.	
Gaps or issues	
○ There is no JNR requirement to explain the relationship between monitoring for the JNR program and any emerging or existing National forestry System.	
Potential JNR revisions to consider to facilitate harmonization	
○ **General update to the standard and/or guidance:** The VCS could require programs to explain the relationship between monitoring for the JNR program and any emerging or existing National forestry System and encourage harmonization.	

FCPF Carbon Fund Meth Framework Indicator 16.1: The ER Program demonstrates that it has explored opportunities for community participation in Monitoring and reporting, e.g., of ER Program Measures, activity data, emission factors, safeguards and Non-Carbon Benefits, and encourages such community participation where appropriate.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.9.6	
Potential gap between a VCS compliant program and an MF indicator:	Minor gap
JNR Requirement 3.14.9.6 “encourages” community based monitoring “where appropriate”, but does not require a demonstration that opportunities have been explored.	
Gaps or issues	
○ JNR Requirement 3.14.9.6 “encourages” community based monitoring where appropriate, but does not require a demonstration that opportunities have been explored.	
Potential JNR revisions to consider to facilitate harmonization	
○ **Release CF specific guidance:** Programs applying to the Carbon Fund should demonstrates that	

they have explored opportunities for community participation in monitoring and reporting, e.g., of ER program measures, activity data, emission factors, safeguards and non-carbon benefits, and encourages such community participation where appropriate.

The JNR could require a demonstration that opportunities have been explored for community-based monitoring, but the current approach of allowing and encouraging such monitoring may be sufficient to fulfil the standard's objectives regarding community involvement.

FCPF Carbon Fund Meth Framework Indicator 17.1: Deforestation and degradation drivers that may be impacted by the proposed ER Program Measures are identified, and their associated risk for Displacement is assessed, as well as possible risk mitigation strategies. This assessment categorizes Displacement risks as high, medium or low.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.12.6, 3.12.7, 3.12.8	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The JNR requires that programs identify and minimise (where possible) leakage. There is no specific JNR requirement to classify displacement risks as high, medium or low. However, there are numerous requirements (3.12) regarding quantification of leakage.	
Gaps or issues	
○ Although displacement risks must be identified, there is no specific JNR requirement to classify displacement risks as high, medium or low.	
Potential JNR revisions to consider to facilitate harmonization	
Release CF specific guidance: Programs applying to the Carbon Fund should classify their displacement risks as high medium and low.	

FCPF Carbon Fund Meth Framework Indicator 17.2: The ER Program has in place an effective strategy to mitigate and/or minimize, to the extent possible, potential Displacement, prioritizing key sources of Displacement risk.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.12.6, 3.12.7, 3.12.8	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

The JNR requires that program's identify and minimise (where possible) leakage (13.12.6-8).
Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 17.3: By the time of verification, the ER Program has implemented its strategy to mitigate and/or minimize potential Displacement.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.12.6, 3.12.7, 3.12.8, 3.14.10	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR requires that program's identify and minimise (where possible) leakage (13.12.6-8), and that at verification the implementation status of the program is reported upon (3.14.10).	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 17.4: ER Programs are also invited to report on changes in major drivers in the ER Accounting Area, any Displacement risks associated with those drivers, and any lessons from the ER Programs' efforts to mitigate potential Displacement.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.9, 3.14.10.d	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR monitoring requirements require changes in drivers to be considered in landuse change analysis (3.14.9) and reported in monitoring reports for the purposes of baseline reassessment (3.14.10.d0. This combined with the leakage minimisation requirements above, would provide the information a program would need to meet MF indicator 17.4 (which appears to be optional).	

Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 18.1: The ER Program has undertaken an assessment of the anthropogenic and natural risk of Reversals that might affect ERs during the Term of the ERPA and has assessed, as feasible, the potential risk of Reversals after the end of the Term of the ERPA.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.15.1, JNR Non-Permanence Risk Tool	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
A JNR program must prepare a non-permanence risk report in accordance with VCS document JNR Non-Permanence Risk Tool or AFOLU Non-Permanence Risk Tool, respectively, at both validation and verification (JNR Requirement 3.15.1). The tool assesses risks relevant to the jurisdictional program across the following five broad categories: political and governance risk, program design and strategy risk, carbon rights and use of carbon revenues, funding risk, and natural risk, thus covering the risks 'anthropogenic' and 'natural' categories defined in MF indicator 18.1. Under each risk category, programs receive a risk rating. This can be reduced where the program design effectively mitigates related risks. The risk rating is converted to a percentage and multiplied by the net GHG benefit, this amount of credits must then be deposited in the VCS buffer account (and are not issued as VCUs). With regard to post-crediting period permanence, JNR Requirement 3.4.1 notes, "While the crediting period for jurisdictional REDD+ programs is only 10 years, permanence is addressed by assessing the length of the commitment period (i.e. the length of time that management activities that protect the permanence of stocks will be continued). An appropriate level of buffer withholding will be determined based on the VCS document JNR Non-Permanence Risk Tool, as set out in Section 3.15." And then within the tool it is stated that the "*jurisdictional proponent shall identify strategies to reduce deforestation (and degradation, where relevant) and shall develop an implementation plan covering (at a minimum) the length of the program crediting period that sets out the programs or activities that will be implemented to address the main drivers, agents and/or underlying causes of deforestation (and degradation) identified in the baseline."* (JNR Non-permanence risk tool 2.2.2.2) The subsequent calculations that a program has to perform to determine its risk rating rewards programs	

with longer term plans.
Gaps or issues
○ Whilst there are mentions dispersed throughout the JNR Non-Permanence Risk Tool, the JNR documentation does not discuss in much detail requirements for longer term planning and financing to reduce the risk of reversals after the crediting period.
Potential JNR revisions to consider to facilitate harmonization
○ **General update to the standard and/or guidance:** The VCS could be more specific in the Non-Permanence Risk Tool regarding the requirements to design a program that will minimize the risk of reversals over the long term.

FCPF Carbon Fund Meth Framework Indicator 18.2: The ER Program demonstrates how effective ER Program design and implementation will mitigate significant risks of Reversals identified in the assessment to the extent possible, and will address the sustainability of ERs, both during the Term of the ERPA, and beyond the Term of the ERPA.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.15.1, JNR Non-Permanence Risk Tool	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR Non-Permanence Risk Tool requires programs to identify the risk mitigation strategies that they are taking and rewards programs with reduced risk ratings if those strategies cover the risks identified.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 19.1: During the Term of the ERPA, the ER Program accounts for Reversals from ERs using one of the following options: Option 1: The ER Program has in place a Reversal management mechanism (e.g., buffer reserve or insurance) that is substantially equivalent to the Reversal risk mitigation assurance provided by the ER Program CF Buffer approach referred to in option 2 below, appropriate for the ER Program's assessed level of risk, which in the event of a Reversal during the Term of the ERPA will be used to fully cover such

Reversals. Option 2: ERs from the ER Program are deposited in an ER Program-specific buffer, managed by the Carbon Fund (ER Program CF Buffer), based on a Reversal risk assessment. ERs deposited in the ER Program CF Buffer (Buffer ERs) will not be transferred to the Carbon Fund. In the event that a Reversal event occurs during the Term of the ERPA, an amount of Buffer ERs will be cancelled from the ER Program CF Buffer equivalent to the amount of transferred ERs affected by the Reversal event. *Footnote to option 2: The modalities for the ER Program CF Buffer will be developed separately including the Reversal risk assessment. The ER Program CF Buffer shall cover Reversal events, provided that the ER Program Entity is in full compliance with its obligations under or in connection with the ERPA. The ERs set aside to cover Reversal events in the ER Program CF Buffer will have a minimum set aside of 10% and a maximum set aside of 40% of the ERs generated, verified and transferred to the CF at each time of ER transfer.*	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 19.1, JNR Non-Permanence Risk Tool, JNR Registration and Issuance Process	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The JNR has a comprehensive risk-based buffer system (see overview in MF 18.1 above) building on the VCS's established AFOLU buffer approach covering projects. A full analysis of the VCS's buffer system, relative to the modalities of the CF's would need undertaking once those modalities were developed. Based on the information available at this time, the only potential conflict could be that the JNR buffer system allows a maximum deduction of 60%, which is greater than the 40% allowed by the CF buffer system. However, the JNR approach may be the more conservative of the two options allowed if the CF caps its buffer withholding at 40%, still allowing jurisdictions to participate regardless of reversal risk.	
Gaps or issues	
○ The JNR buffer system allows a maximum deduction of 60%, which is greater than the 40% allowed by the CF buffer system.	
Potential JNR revisions to consider to facilitate harmonization	
General update to the standard and/or guidance: The VCS could cap programs to a 40% buffer, failing those who go above this level in the JNR risk assessment. Although as mentioned above, the VCS approach could actually be more conservative than what is being proposed by the Carbon Fund, which would facilitate JNR programs in meeting the MF reversal requirements. **Other VCS action:** The VCS should continue to communicate with the Carbon Fund on the buffer modalities to pass on its experience and remain abreast of any potentially conflicting requirements from the CF.	

FCPF Carbon Fund Meth Framework Indicator 20.1: At the latest 1 year before the end of the Term of the ERPA, the ER Program will have in place a robust Reversal management mechanism or another specified approach that addresses the risk of Reversals beyond the Term of the ERPA.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.4.1, 3.15.11,	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR buffer system is designed to ensure the permanence of all issued credits over the long term. Under the JNR, the minimum crediting period is 10 years, which can be extended a maximum of two times to 30 years total (3.4.1). So, any jurisdictional program applying the JNR framework will, by definition, be using the JNR buffer as a reversal management mechanism beyond the ERPA Term (which will end in 2020).	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ **General update to the standard and/or guidance:** The VCS could consider mechanisms to incentivise performance beyond the crediting period such as some ongoing access to buffer credits, or a reduced buffer deduction at the final verification.	

FCPF Carbon Fund Meth Framework Indicator 20.2: If the ER Program has selected option 2 under Indicator 19.1, all or a portion of the Buffer ERs of the ER Program, subject to a Carbon Fund review of the Methodological Framework and a decision of the parties to the ERPA in 2019, will be transferred to the mechanism identified in Indicator 20.1 at the end of the Term of the ERPA. If the ER Program fails to meet the requirements of Indicator 20.1, all remaining Buffer ERs in the ER Program CF Buffer will be cancelled.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: NA	
Potential gap between a VCS compliant program and an MF indicator:	NA
If a program had chosen option 2 in 19.1, then they would not be using the VCS buffer approach.	
Gaps or issues	
○ NA	

Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 21.1: The ER Program Monitoring Plan and Monitoring system are technically capable of identifying Reversals.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.14.2, 3.15.6, 3.15.7, 3.15.8	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR has a comprehensive set of requirements around monitoring (3.14.2), loss reporting (3.15.6, 3.15.7) and reversal identification (3.15.8).	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 21.2: The ER Program reports to the Carbon Fund within 90 calendar days after becoming aware of any emissions in the Accounting Area or changes in ER Program circumstances that, in the reasonable opinion of the ER Program, could lead to Reversals of previously transferred ERs by the next Monitoring event. The ER Program explains how the potential Reversals would be addressed by additional ER Program Measures or by the Reversal management mechanism described in Indicator 19.1.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.15.6, 3.15.7, 3.15.8	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR programs do have to submit a loss report to the VCS within two years of the loss event. If they do not, they are no longer allowed to issue credits unless it can be demonstrated that the loss was not detected sooner (due to monitoring frequency) (3.15.6.3). The loss report could then be provided to the Carbon Fund within 90 days of the incident being discovered. The JNR requirements provide a number of criteria relative to how programs must subsequently account for losses to ensure the integrity of the credits issued from the jurisdiction (3.15.7 and 3.15.8)	

Gaps or issues

- None

Potential JNR revisions to consider to facilitate harmonization

- NA

FCPF Carbon Fund Meth Framework Criterion 22: Net ERs are calculated by the following steps:

1. Subtract the reported and verified emissions and removals from the Reference Level.

2. Set aside a number of ERs from the result of step 1, above, in a buffer reserve. This amount reflects the level of uncertainty associated with the estimation of ERs during the Term of the ERPA. The amount set aside in the buffer reserve is determined using the following conservativeness factors for deforestation:

Aggregate Uncertainty of Emissions Reductions	Conservativeness Factor
≤ 15%	0%
> 15% and ≤ 30%	4%
> 30 and ≤ 60%	8%
> 60 and ≤100%	12%
> 100%	15%

For estimated Emissions Reductions associated with degradation, the same conservativeness factors may be applied if spatially explicit activity data (IPCC Approach 3) and high-quality emission factors (IPCC Tier 2) are used. Otherwise, for proxy-based approaches, apply a general conservativeness factor of 15% for forest degradation Emission Reductions.

3. Set aside a number of ERs in the ER Program CF Buffer or other Reversal management mechanism created or used by an ER Program to address Reversals.

Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.13.1, 3.13.2, 3.13.3. VCS Standard 4.1.4

Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

1 and 3. The calculation method under the JNR is the same as required by this MF indicator (except that under JNR leakage emissions also have to be specifically accounted for).

2. Under the JNR, uncertainty deductions are not placed in a "*buffer reserve*", but are just removed from further calculations. The JNR does have required methods for making uncertainty deductions which are

described in the VCS Standard 4.1.4 which states,

"Confidence deductions shall be applied using conservative factors such as those specified in the CDM Meth Panel guidance on addressing uncertainty in its Thirty Second Meeting Report, Annex 14[5]."

Table 4 form the CDM guidance is reproduced below:

Table 4: Acceptable uncertainty limits for random uncertainty (adapted from 2006 IPCC Guidelines, Volume 2, Chapter 2, Tables 2.2 to 2.6)

Estimated uncertainty range at 95% confidence level of overall emission reductions	Conservativeness factor
> +/- 15%, ≤ +/- 30%	0.943
> +/- 30%, ≤ +/-50%	0.893
> +/- 50%, ≤ +/- 100%	0.836
> +/- 100%	to be addressed in the methodology

These conservative factors are more conservative that those suggested by this MF indicator. Although it should be noted that the MF indicator does not states the confidence interval at which the confidence level is to be assessed.

Gaps or issues

- None

Potential JNR revisions to consider to facilitate harmonization

- NA

FCPF Carbon Fund Meth Framework Criterion 23: To prevent double-counting, ERs generated under the ER Program shall not be counted or compensated for more than once. Any reported and verified ERs generated under the ER Program and sold and/or transferred to the Carbon Fund shall not be sold, offered or otherwise used or reported a second time by the ER Program Entity. Any reported and verified ERs generated under the ER Program that have been sold and/or transferred, offered or otherwise used or reported once by the ER Program Entity shall not be sold and transferred to the Carbon Fund.

Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.6.4, 3.6.5

Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

JNR programs must deduct any GHG credits (or equivalent) issued during the same period by or for other programs or non-VCS projects encompassing the same jurisdictional boundary (i.e. covering the same or overlapping area(s) and GHG pools (3.6.4). Furthermore, any GHG credits issued to non-forestry projects

[5] Available here: http://cdm.unfccc.int/Panels/meth/meeting/08/032/mp_032_an14.pdf

(e.g. fuel efficient stove projects) that are associated with significantly reducing pressure on forests within the geographic boundary of the jurisdiction must be deducted from the total GHG emission reductions associated with avoided deforestation or degradation across the jurisdiction, to prevent double counting.
Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 24.1: The ER Program demonstrates through its design and implementation how it meets relevant World Bank social and environmental safeguards, and promotes and supports the safeguards included in UNFCCC guidance related to REDD+, by paying particular attention to Decision 1/CP.16 and its Appendix I as adopted by the UNFCCC (FMT Note CF-2013-3 describes World Bank Safeguard Policies and the UNFCCC REDD+ Safeguards)**.**	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.2, 3.2.2.4	
Potential gap between a VCS compliant program and an MF indicator:	Potentially major gap
JNR programs are required to, *"provide information in the monitoring reports with respect to how they have avoided (and where necessary mitigated) negative and enhanced positive social and environmental impacts in accordance with all of the safeguards contained in Appendix 1 of Decision 1/CP.16 of the UNFCCC Cancun Agreements and relevant jurisdictional (national and subnational) REDD+ safeguards requirements."* (3.7.2) This information must be documented in the JPD (3.2.2.4). There is no JNR requirement to demonstrate compliance with World Bank environmental and social safeguards. Whilst there is overlap between the UNFCCC Cancun Agreements and WB Social and Environmental safeguards in terms of substance, the WB has specific procedures that one would not necessarily follow unless they were specifically trying to achieve compliance with the WB safeguards.	
Gaps or issues	
○ There is no JNR requirement to demonstrate compliance with World Bank environmental and social safeguards.	
Potential JNR revisions to consider to facilitate harmonization	
○ **Release CF specific guidance:** Programs applying to the Carbon Fund should demonstrate through its design and implementation how it meets relevant World Bank social and	

environmental safeguards.

Given the World Bank's involvement in the Carbon Fund, it is expected that their safeguards would need to be adhered to. The JNR requirements for UNFCC and in-country safeguards to be followed already covers the broad base of pertinent issues related to safeguards. Requiring all programs to adhere to WB safeguards as well would seem overly burdensome in terms of reporting and planning if they are not being funded by the WB.

FCPF Carbon Fund Meth Framework Indicator 24.2: Safeguards Plans address social and environmental issues and include related risk mitigation measures identified during the national readiness process, e.g., in the SESA process and the ESMF, that are relevant for the specific ER Program context (e.g., land tenure issues), taking into account relevant existing institutional and regulatory frameworks. The Safeguards Plans are prepared concurrently with the ER Program Document, and are publicly disclosed in a manner and language appropriate for the affected stakeholders. (If final Safeguards Plans are not provided at the time of ERPA signature, they become a condition precedent which must be fulfilled in order for the sale and purchase obligations under the ERPA to become effective.)	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.2.2.4, 3.7.2	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The VCS JNR requirement on safeguards (3.7.2) is monitoring and reporting focused and does not explicitly require any planning documents. JNR requirement 3.2.2.4, states that safeguard "information" must be included in the JPD, but again, no plan is specifically required. Requirement 3.2.4.4 could be interpreted as requiring a plan for the monitoring, but it is not explicit.	
Gaps or issues	
○ JNR does not specifically require that any safeguard plans are prepared and disclosed (only that safeguards are demonstrated to have been adhered to in monitoring reports).	
Potential JNR revisions to consider to facilitate harmonization	
General update to the standard and/or guidance: The VCS could specifically require that safeguard plans (including a monitoring component) be a distinct part of the JPD submission.	

FCPF Carbon Fund Meth Framework Indicator 25.1: Appropriate monitoring arrangements for safeguards referred to in Criterion 24 are included in the Safeguards Plans.

Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.2.2.4, 3.7.2	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
See MF indicator 24.2 above. The JNR does not have a requirement for stakeholder plans, hence there is no requirement for them to contain a monitoring plan.	
Gaps or issues	
○ See MF 24.2	
Potential JNR revisions to consider to facilitate harmonization	
○ See MF 24.2	

FCPF Carbon Fund Meth Framework Indicator 25.2: During ER Program implementation, information on the implementation of Safeguards Plans is included in an annex to each ER monitoring report and interim progress report. This information is publicly disclosed, and the ER Program is encouraged to make this information available to relevant stakeholders. This information is also made available as an input to the national systems for providing information on how safeguards are addressed and respected (SIS) required by the UNFCCC guidance related to REDD+, as appropriate**.** (The abbreviation "SIS" will be used throughout this Methodological Framework to describe a national system for providing information on how the Cancun safeguards are addressed and respected, as contained in UNFCCC Decision 12/CP.17.)	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.2, 3.14.10	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JNR requires that safeguard implementation is reported upon in the monitoring reports (3.7.2, 3.14.10). Monitoring reports are public documents, available in the VCS project database.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 26.1: An assessment of existing FGRM [Feedback and

Grievance Redress Mechanism], including any applicable customary FGRMs, is conducted and is made public. The FGRM applicable to the ER Program demonstrates the following: i) Legitimacy, accessibility, predictability, fairness, rights compatibility, transparency, and capability to address a range of grievances, including those related to benefit-sharing arrangements for the ER Program; ii) Access to adequate expertise and resources for the operation of the FGRM.
Comparable VCS JNR or AFOLU Requirement(s):
JNR Requirements: 3.7.3
Potential gap between a VCS compliant program and an MF indicator: Minor gap
There is no JNR requirement to assess existing FGRMs. However, JNR requirement 3.7.3 does suggest that programs can use principle 6.6[6] of the REDD+ Social and Environmental Standards (REDD+ SES) to guide the development of the FGRM. Principle 6.4 of REDD+ SES, does require that national, local, regional, international and customary processes are included in the FGRM. Therefore a program following this guidance would at least be aware of customary FGRMs.
Gaps or issues
○ The VCS requires a grievance mechanism is established, but does not require an assessment of existing mechanisms.
Potential JNR revisions to consider to facilitate harmonization
○ **General update to the standard and/or guidance:** The VCS could include more specific requirements regarding the design of the grievance mechanism in line with MF requirements, this could include assessing existing mechanisms that cover the jurisdiction, and working with them to improve them where that is deemed to the be the best approach. *However, VCS may prefer to issue guidance for Carbon Fund applicants, advising that Carbon Fund requirements should be followed and remind them that REDD+ SES principle 6.4 is a good starting point for this.*

FCPF Carbon Fund Meth Framework Indicator 26.2: The description of FGRM procedures, included in the Benefit-Sharing Plan and/or relevant Safeguards Plans, specifies the process to be followed to receive, screen, address, monitor, and report feedback on, grievances or concerns submitted by affected stakeholders. As relevant, the Benefit-Sharing Plan and/or relevant Safeguards Plans and/or ER Program

[6] this appears to be a mis-reference, and should refer to 6.4

Document describe the relationship among FGRM(s) at the local, ER Program, and national levels.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.3	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
JNR requirement 3.7.3 states that a grievance resolution mechanism must be developed. It also states, *"Principle 6.6 of the REDD+ Social & Environmental Safeguards (SES) may be used to guide development of grievance mechanisms".* If the REDD+ SES principles are followed then it is very likely that the requirements of this indicator would be met, however use of REDD+ principle is not mandatory.	
Gaps or issues	
○ The JNR, although recommending that REDD+ SES principles are followed for the development of a grievance mechanism, this is optional, so there is a chance that a program's mechanism fails to meet the MF indicator's requirements.	
Potential JNR revisions to consider to facilitate harmonization	
○ See MF indicator 26.1	

FCPF Carbon Fund Meth Framework Indicator 26.3: If found necessary in the assessment mentioned in Indicator 26.1, a plan is developed to improve the FGRM.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: NA	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
There is no JNR requirement to assess existing FGRMs hence no requirement to develop and improve any.	
Gaps or issues	
○ There is no JNR requirement to assess existing FGRMs hence no requirement to develop and improve any.	
Potential JNR revisions to consider to facilitate harmonization	
○ See 26.1 above.	

FCPF Carbon Fund Meth Framework Indicator 27.1: The ER Program identifies the key drivers of deforestation and degradation, and potentially opportunities for forest enhancement.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.11.11, 3.12.8.1, 3.14.9.4, JPD Template	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
In developing a baseline, program proponents are required to select the most plausible deforestation baseline (and optionally degradation). To do this would usually involve conducting analysis of drivers (3.11.11). The JPD template (section 3.3) also requires proponents to identify the drivers and how these are addressed by the program's strategies. Proponents identify drivers of deforestation with respect to their potential for leakage (3.12.8.1), and identify any changes during monitoring that could be important for baseline reassessment (3.14.9.4). There are no requirements to identify the drivers of degradation if degradation is not in scope (which is always an option), nor are there any requirements to assess the potential for forest enhancement (although the wording of the criterion suggests this may be optional).	
Gaps or issues	
○ There are no JNR requirements to identify the drivers of degradation if degradation is not in scope (which is always an option), nor are there any requirements to assess the potential for forest enhancement.	
Potential JNR revisions to consider to facilitate harmonization	
○ **Release CF specific guidance:** Programs applying to the Carbon Fund should assess degradation drivers even if degradation is not in scope. ○ **Release CF specific guidance:** Programs applying to the Carbon Fund should assess opportunities for forest enhancement to be included in project activities.	

FCPF Carbon Fund Meth Framework Indicator 27.2: The ER Program identifies currently planned ER Program Measures and how they address the key drivers identified in Indicator 27.1, and the entities that would undertake them.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: JPD Template	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The JPD template (section 3.3) also requires proponents to identify the drivers and how these are	

addressed by the program's strategies.
Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 28.1: The ER Program reviews the assessment of land and resource tenure regimes carried out during the readiness phase at the national level (i.e., SESA) and, if necessary, supplements this assessment by undertaking an additional assessment of any issues related to land and resource tenure regimes in the Accounting Area that are critical to the successful implementation of the ER Program, including: i. The range of land and resource tenure rights (including legal and customary rights of use, access, management, ownership, exclusion, etc.) and categories of rights-holders present in the Accounting Area (including Indigenous Peoples and other relevant communities); ii. The legal status of such rights, and any significant ambiguities or gaps in the applicable legal framework, including as pertains to the rights under customary law; iii. Areas within the Accounting Area that are subject to significant conflicts or disputes related to contested or competing claims or rights, and if critical to the successful implementation of the ER Program, how such conflicts or disputes have been or are proposed to be addressed; and iv. Any potential impacts of the ER Program on existing land and resource tenure in the Accounting Area. The ER Program demonstrates that the additional assessment has been conducted in a consultative, transparent and participatory manner, reflecting inputs from relevant stakeholders.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.2.2, 3.6.1, 3.7.1	
Potential gap between a VCS compliant program and an MF indicator:	Minor gap
There is no specific JNR requirement to review the assessment of land and resource tenure regimes carried out during the readiness phase at the national level. Nor is there any specific requirement for right of use assessments to be transparent – however transparency is a VCS principle, and the programs	

in general do have to involve transparent and document stakeholder interactions (3.7.1)

The JNR however, does require that 'right of use[7]' is demonstrated per requirement 3.6.1,

"*Documentary evidence shall be provided establishing conclusively one or more rights of use (see VCS document Program Definitions for definition of right of use) accorded to the jurisdictional proponent(s), as set out in the VCS Standard. Such right of use shall be demonstrated with respect to those areas for which the jurisdictional proponent intends to seek VCU issuance.*

The physical boundaries of such areas where right of use is established shall be specified in accordance with the requirements for project location in the VCS Standard. Such boundaries may be equal to or smaller than the boundary of the jurisdictional baseline."

This must be documented in the JPD. If this were done properly and well documented, this would most likely cover points i-iv in the indicator, since right of use will depend very much on land tenure.

Gaps or issues

- The VCS's requirements around demonstrating right of use do not include a structured approach to assessing land tenure like the Carbon Fund's MF does. This could mean that some programs, although complying with VCS requirements, may not have followed and documented a process that complies with the MF.

Potential JNR revisions to consider to facilitate harmonization

- **General update to the standard and/or guidance:** The VCS could provide more structured requirements around best practice for demonstrating right of use focused around establishing clear land tenure through transparent consultation and addressing any issues in a participatory, consultative and transparent manner.

FCPF Carbon Fund Meth Framework Indicator 28.2: The ER Program explains how the relevant issues identified in the above assessment have been or will be taken into consideration in the design and implementation of the ER Program, and in the relevant Safeguards Plan(s). If the ER Program involves activities that are contingent on establishing legally recognized rights to lands and territories that Indigenous Peoples have traditionally owned or customarily used or occupied, the relevant Safeguards Plan sets forth an action plan for the legal recognition of such ownership, occupation, or usage. Beyond what is required for the successful implementation of the ER Program, the ER Program is encouraged to

[7] In respect of a GHG emission reduction or removal, the unconditional, undisputed and unencumbered ability to claim that the relevant project, or jurisdictional REDD+ program, will or did generate or cause such reduction or removal. Distinct from proof of right

show how it can contribute to progress towards clarifying land and resource tenure in the Accounting Area, where relevant.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.6.1, 3.7.1	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
As stated above, there is no specific requirement for a land tenure assessment to be conducted according to the process specified in MF 28.1, and therefore no requirement to take that assessment into account. JNR Requirement 3.7.2 requires programs to report on how they upholding safeguards, but there is nothing specific mentioned about land tenure. There are no VCS requirements to show how it can contribute to progress towards clarifying land and resource tenure in the Accounting Area, where relevant (although this is only encouraged, not required by the MF indicator).	
Gaps or issues	
○ The VCS does not focus on the link between safeguards and establishing and respecting land tenure throughout program design and implementation.	
Potential JNR revisions to consider to facilitate harmonization	
○ See MF indicator 28.1	

FCPF Carbon Fund Meth Framework Indicator 28.3: The ER Program provides a description of the implications of the land and resource regime assessment for the ER Program Entity's ability to transfer Title to ERs to the Carbon Fund.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.6.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The VCS requires that 'right of use[8]' is demonstrated in JNR requirement 3.6.1.	
Gaps or issues	

[8] In respect of a GHG emission reduction or removal, the unconditional, undisputed and unencumbered ability to claim that the relevant project, or jurisdictional REDD+ program, will or did generate or cause such reduction or removal. Distinct from proof of right

○ None
Potential JNR revisions to consider to facilitate harmonization
○ None

FCPF Carbon Fund Meth Framework Criterion[9] 29: The ER Program provides a description of the benefit-sharing arrangements for the ER Program, including information specified in Indicator 30.1, to the extent known at the time.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.2.2.f, 3.14.10	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
VCS JNR requirement 3.2.2.f states, *“Where the jurisdiction follows Scenario 3 (i.e. where there is no direct crediting to nested jurisdictions or nested projects), the jurisdiction shall include a description of the internal allocation or benefit-sharing mechanism, where relevant. Where included, such allocation mechanisms shall be developed in accordance with the transparency and stakeholder involvement requirements set out in Section 3.7.”* Programs are also required to report on the implementation of their internal allocation or benefit sharing mechanisms. (3.14.10)	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 30.1: The Benefit-Sharing Plan is made publicly available prior to ERPA signature, at least as an advanced draft, and is disclosed in a form, manner and language understandable to the affected stakeholders for the ER Program. The Benefit-Sharing Plan contains the following information: i. The categories of potential Beneficiaries, describing their eligibility to receive potential Monetary and Non-Monetary Benefits under the ER Program and the types and scale of such potential Monetary and Non-Monetary Benefits that may be received. Such Monetary and

[9] Criterion 29 has no indicators

Non-Monetary Benefits should be culturally appropriate and gender and inter-generationally inclusive. The identification of such potential Beneficiaries takes into account emission reduction strategies to effectively address drivers of net emissions, anticipated implementers and geographical distribution of those strategies, land and resource tenure rights (including legal and customary rights of use, access, management, ownership, etc. identified in the assessments carried out under Criterion 28), and Title to ERs, among other considerations. ii. Criteria, processes, and timelines for the distribution of Monetary and Non- Monetary Benefits. iii. Monitoring provisions for the implementation of the Benefit-Sharing Plan, including, as appropriate, an opportunity for participation in the monitoring and/or validation process by the Beneficiaries themselves. *If a final Benefit-Sharing Plan is not provided at the time of ERPA signature, it becomes a condition precedent which must be fulfilled in order for the sale and purchase obligations under the ERPA to become effective.*
Comparable VCS JNR or AFOLU Requirement(s):
JNR Requirements: 3.2.2.f, 3.7.1, 3.14.10
Potential gap between a VCS compliant program and an MF indicator: — Likely compatible
The benefit-sharing plan must be published publically as part of the JPD (3.2.2.f), and have been derived in a consultative and participatory manner (3.7.1). With regard to MF indicator 30.1.i, there are no specific VCS requirements to categorise beneficiaries, although this would be expected to be part of any benefit-sharing plan. With regard to MF indicator 30.1.ii, there are no specific requirements to disclose the criteria, processes and timelines for the distribution of Monetary and Non- Monetary Benefits, although again, these would be components of any comprehensive benefit sharing mechanism. With regard to MF indicator 30.1.ii, it must also be monitored (3.14.10) and thus the monitoring mechanism would need to be in the monitoring plan. The JNR requires the benefit-sharing plan to be complete at validation.
Gaps or issues
○ The JNR requires a benefit-sharing plan be set out in the JPD and monitored going forward. It is likely that programs would cover the Carbon Fund requirements when writing this plan, but some of the specific points could be missed.
Potential JNR revisions to consider to facilitate harmonization
○ **General update to the standard and/or guidance:** The VCS could provide further guidance, in line with MF requirements, on what the components of a comprehensive benefit-sharing plan

should be.

FCPF Carbon Fund Meth Framework Indicator 31.1: The Benefit-Sharing Plan is prepared as part of the consultative, transparent and participatory process for the ER Program, and reflects inputs by relevant stakeholders, including broad community support by affected Indigenous Peoples. The Benefit-Sharing Plan is designed to facilitate the delivery and sharing of Monetary and Non-Monetary Benefits that promote successful ER Program implementation. The Benefit-Sharing Plan is disclosed in a form, manner and language understandable to the affected stakeholders of the ER Program.

Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.2.2.f, 3.7.1

Potential gap between a VCS compliant program and an MF indicator:	Minor gap

The benefit-sharing plan must be published publically as part of the JPD (3.2.2.f), and have been derived in a consultative and participatory manner (3.7.1). There is however no specific requirement that the benefit-sharing plan is disclosed in a form, manner and language understandable to the affected stakeholders of the ER Program, although a program that is following consultative and transparent processes would most likely do this.

Gaps or issues

- There is no specific requirement that the benefit-sharing plan be disclosed in a form, manner and language understandable to the affected stakeholders of the ER Program.

Potential JNR revisions to consider to facilitate harmonization

- **General update to the standard and/or guidance:** The VCS could also require that the benefit-sharing plan be disclosed in a form, manner and language understandable to the affected stakeholders of the ER Program.

FCPF Carbon Fund Meth Framework Indicator 32.1: Information on the implementation of the Benefit-Sharing Plan is annexed to each ER Program monitoring report and interim progress report and is made publicly available.

Comparable VCS JNR or AFOLU Requirement(s):

JNR Requirements: 3.14.10

Potential gap between a VCS compliant program and an MF indicator:	Fully compatible

The benefit sharing mechanisms must be monitored and reported upon (3.14.10).

Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ None	

FCPF Carbon Fund Meth Framework Indicator 33.1: The design and implementation of the Benefit-Sharing Plan comply with relevant applicable laws, including national laws and any legally binding national obligations under relevant international laws.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements:	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR requirement 3.1.2 states, "Implementation of the jurisdictional REDD+ program and any nested project shall not lead to the violation of any applicable law, regardless of whether or not the law is enforced." Therefore the benefit system could not be unlawful.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 34.1: The ER Program outlines potential Non-Carbon Benefits, identifies priority Non-Carbon Benefits, and describes how the ER Program will generate and/or enhance such priority Non-Carbon Benefits. Such priority Non-Carbon Benefits should be culturally appropriate, and gender and inter-generationally inclusive, as relevant.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.2	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
Within monitoring report, proponents must document how they have, "*enhanced positive social and environmental impacts in accordance with all of the safeguards contained in Appendix 1 of Decision 1/CP.16 of the UNFCCC Cancun Agreements6 and relevant jurisdictional (national and subnational)*	

REDD+ safeguards requirements." This would cover some non-carbon benefits, but the MF separates out non-carbon benefits from safeguards (see criteria 24-26). There are no JNR requirements to identify "priority" non-carbon benefits that are culturally appropriate, and gender and inter-generationally inclusive.
Gaps or issues
○ The VCS's treatment of non-carbon benefits is tied to positive enhancements on issues related to safeguards. In order to ensure that programs are considering non-carbon benefits in the manner defined by the Carbon Fund, a separate, more explicit consideration may be required. ○ There are no JNR requirements to identify "priority" non-carbon benefits that are culturally appropriate, and gender and inter-generationally inclusive.
Potential JNR revisions to consider to facilitate harmonization
○ **Release CF specific guidance:** Programs applying to the Carbon Fund should outline potential non-carbon benefits, identifies priority non-carbon benefits, and describes how the ER Program will generate and/or enhance such priority non-carbon benefits. Such priority non-carbon benefits should be culturally appropriate, and gender and inter-generationally inclusive, as relevant. *The VCS could increase the rigor around the requirements for identifying and prioritizing non-carbon benefits in line with the requirements of the MF. However, the VCS has historically been a GHG-focused standard that focuses on ensuring appropriate safeguards are in place to protect communities and the environment, rather than quantifying any benefit.*

FCPF Carbon Fund Meth Framework Indicator 34.2: Stakeholder engagement processes carried out for the ER Program design and for the readiness phase inform the identification of such priority Non-Carbon Benefits.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR requirement 3.7.1 requires that the program is designed in a transparent manner, and in consultation with relevant stakeholders. This would include the identification on non-carbon benefits, although see MF indicator 34.1 above for concerns around the breadth of coverage of non-carbon benefits.	
Gaps or issues	
○ See MF indicator 34.1 above for concerns around the breadth of coverage of non-carbon	

benefits.
Potential JNR revisions to consider to facilitate harmonization
○ See MF 34.1

FCPF Carbon Fund Meth Framework Indicator 35.1: The ER Program proposes an approach utilizing methods available at the time to collect and provide information on priority Non-Carbon Benefits, including, e.g., possibly using proxy indicators. If relevant, this approach also may use information drawn from or contributed as an input to the Safeguard Information System. (Community participation in these methods is referred to in Criterion 16.)	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.2, 3.14.10.6, JPD Template 6.3	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The JNR requires that safeguards (including enhancements) are reported upon (3.7.2, 3.14.10.6). The JPD template (section 6.3) also requires a safeguard information system is defined to gather enhancements.	
Gaps or issues	
○ See MF indicator 34.1, regarding the JNR's linkage between safeguards and non-carbon benefits. The MF criteria implies that non-carbon benefits, are wider than just enhancements related to safeguards, and hence would need monitoring that went beyond a safeguard information system.	
Potential JNR revisions to consider to facilitate harmonization	
○ See MF 34.1	

FCPF Carbon Fund Meth Framework Indicator 35.2: Information on generation and/or enhancement of priority Non-Carbon Benefits will be provided in a separate annex to each ER Program monitoring report and interim progress report, and will be made publicly available.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.7.2, 3.14.10.6	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
Information on enhancements related to safeguards must be reported upon (3.7.2, 3.14.10.6).	

Gaps or issues
○ See MF indicator 34.1, regarding the JNR's linkage between safeguards and non-carbon benefits. The MF criteria implies that non-carbon benefits, are wider than just enhancements related to safeguards, and hence would need monitoring that went beyond a safeguard information system.
Potential JNR revisions to consider to facilitate harmonization
○ See MF 34.1

FCPF Carbon Fund Meth Framework Indicator 36.1: The ER Program Entity demonstrates its authority to enter into an ERPA with the Carbon Fund prior to the start of ERPA negotiations, either through: i. Reference to an existing legal and regulatory framework stipulating such authority; and/or ii. In the form of a letter from the relevant overarching governmental authority (e.g., the presidency, chancellery, etc.) or from the relevant governmental body authorized to confirm such authority.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.6.1, VCS Standard 3.11.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
JNR requirement 3.6.1 states that documentary evidence must be provided to conclusively demonstrate 'right of use' over all areas for which the jurisdictional proponent intends to seek VCU issuance. The VCS standard 3.11.1, further defines what constitutes right of use as follows: *"1) A right of use arising or granted under statute, regulation or decree by a competent authority.* *2) A right of use arising under law.* *3) A right of use arising by virtue of a statutory, property or contractual right in the plant, equipment or process that generates GHG emission reductions and/or removals (where such right includes the right of use of such reductions or removals and the project proponent has not been divested of such right of use).* *4) A right of use arising by virtue of a statutory, property or contractual right in the land, vegetation or conservational or management process that generates GHG emission reductions and/or removals (where such right includes the right of use of such reductions or removals and the project proponent has not been divested of such right of use).* *5) An enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the plant, equipment or process that generates GHG emission reductions and/or removals which vests the right of use in the project proponent.* *6) An enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the land, vegetation or conservational or management process that generates GHG emission*	

reductions or removals which vests the right of use in the project proponent. *7) A right of use arising from the implementation or enforcement of laws, statutes or regulatory frameworks that require activities be undertaken or incentivize activities that generate GHG emission reductions or removals."* A demonstration of right of use that meets JNR requirement 3.6.1 would most likely include require reference to one of the two pieces of evidence listed in the MF indicator.
Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 36.2: The ER Program Entity demonstrates its ability to transfer to the Carbon Fund Title to ERs, while respecting the land and resource tenure rights of the potential rights-holders, including Indigenous Peoples (i.e., those holding legal and customary rights, as identified by the assessment conducted under Criterion 28), in the Accounting Area. The ability to transfer Title to ERs may be demonstrated through various means, including reference to existing legal and regulatory frameworks, sub-arrangements with potential land and resource tenure rights-holders (including those holding legal and customary rights, as identified by the assessments conducted under Criterion 28), and benefit-sharing arrangements under the Benefit-Sharing Plan.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.6.1, VCS Standard 3.11.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
A demonstration of right of use that meets JNR requirement 3.6.1 would most likely constitute an ability to transfer to the Carbon Fund Title to ERs, while respecting the land and resource tenure rights of the potential rights-holders, including Indigenous Peoples.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 36.3: The ER Program Entity demonstrates its ability to transfer Title to ERs prior to ERPA signature, or at the latest, at the time of transfer of ERs to the Carbon Fund. If this ability to transfer Title to ERs is still unclear or contested at the time of transfer of ERs, an amount of ERs proportional to the Accounting Area where title is unclear or contested shall not be sold or transferred to the Carbon Fund. (If Title to ERs becomes contested after the transfer of ERs to the Carbon Fund has occurred, the ERPA should provide for appropriate remedies, including the potential use of a buffer reserve.)	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: 3.6.1, VCS Standard 3.11.1	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
A demonstration of right of use that meets JNR requirement 3.6.1 would most likely show an ability to transfer Title to ERs prior to ERPA signature, because this would need to be achieved at program validation.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 37.1: Based on national needs and circumstances, the ER Program host country has made a decision whether to maintain its own comprehensive national REDD+ Program and Projects Data Management System, or instead to use a centralized REDD+ Programs and Projects Data Management System managed by a third party on its behalf. In either case of a country's use of a third party centralized REDD+ Programs and Projects Data Management System, or a country's own national REDD+ Programs and Projects Data Management System, the indicators below apply:	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: General	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The VCS does not specifically require a REDD+ program and projects data management system to be developed. However, in meeting the VCS standard processes and protocols a proponent would need to develop a system of sorts. In addition, the VCS itself provides services that could be deemed to be part of a 'system'. These are assessed in MF indicator 37.2 below.	

Gaps or issues
○ It is not clear whether a VCS JNR program would automatically qualify as having a REDD+ Program and Projects Data Management System (although most probably would develop such a system).
Potential JNR revisions to consider to facilitate harmonization
○ **VCS Action:** The VCS could provide guidance to programs on what elements of a REDD+ program and projects data management system are covered by the VCS's project database and registry's functions and what additional components of a system would need to be developed to meet the MF indicator.

FCPF Carbon Fund Meth Framework Indicator 37.2: A national REDD+ Programs and Projects Data Management System or a third party centralized REDD+ Programs and Projects Data Management System needs to provide the attributes of ER Programs, including: i. The entity that has Title to ERs produced; ii. Geographical boundaries of the ER Program or project; iii. Scope of REDD+ activities and Carbon Pools; and iv. The Reference Level used. An ER Program for the Carbon Fund should report its activities and estimated ERs in a manner that conforms to the relevant FCPF Methodological Framework C&Is.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements: (JNR Registration and Issuance Process 4.3.5)	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
All data regarding the project is stored in the VCS project database. i. The registry in which the VCUs were issued by the VCS into would contain up to date title information (supported by the right of use that was demonstrated and audited in the JPD). (JNR Registration and Issuance Process 4.3) ii. The VCS have a spatial database into which any jurisdictional spatial areas are uploaded into (JNR Registration and Issuance Process 4.3.5). iii. The VCS project database would contain the JPD and the PDs of any nested projects. These would include information on the REDD+ activities and Carbon Pools. iv. The VCS project database would contain the JPD and the PDs of any nested projects. These would include information on the baseline.	

Gaps or issues
○ None
Potential JNR revisions to consider to facilitate harmonization
○ NA

FCPF Carbon Fund Meth Framework Indicator 37.3: The information contained in a national or centralized REDD+ Programs and Projects Data Management System is available to the public via the internet in the national official language of the host country (other means may be considered as required).	
Comparable VCS JNR or AFOLU Requirement(s):	
VCS standard: 2.2.1	
Potential gap between a VCS compliant program and an MF indicator:	Minor gap
If the VCS's systems are comprising part of the national system, then the language requirements of this indicator would not be met as the VCS's Project Database, although public, is in English. In addition, all documentation submitted to the VCS (JPDs, Monitoring reports and audit reports are all in English). Registries may also form part of the system. These have public views but would likely not be available in all languages.	
Gaps or issues	
○ The VCS project database, JPDs, monitoring reports and audit reports will all be in English, and not necessarily in the host country's national language. ○ Registries used by the VCS may or may not be available in host country languages.	
Potential JNR revisions to consider to facilitate harmonization	
○ **VCS Action:** The VCS could update its project database to work in the languages of jurisdictions that are registering with it. ○ **Release CF specific guidance:** Programs applying to the Carbon Fund should submit JPDs, monitoring report, and audit reports to in the national official language of the host country as well as in English. ○ **VCS Action:** If it is determined that the registry forms part of the system, then the possibility of a language conversion tool for the website could be looked into.	

FCPF Carbon Fund Meth Framework Indicator 37.4: Administrative procedures are defined for the operations of a national or centralized REDD+ Programs and Projects Data Management System; and an audit of the operations is carried out by an independent third party periodically, as agreed with the Carbon Fund.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Validation and Verification Process Document	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
Under the VCS, the program would be audited at the initial validation event and periodically at verification events. It may be the case that the CF requires additional audits of its own. The VCS does not specifically require administrative procedures for the operation of the system are defined, however, in order to pass an audit it is likely that projects would need to demonstrate they had the systems in place to operate the REDD+ program as defined in the JPD.	
Gaps or issues	
○ A Carbon Fund audit may still be required on top of the periodic VCS audits.	
Potential JNR revisions to consider to facilitate harmonization	
○ **VCS Action:** The VCS should seek to harmonize audit processes with the Carbon Fund to reduce transaction costs for proponents. ○ **General update to the standard and/or guidance:** The VCS could introduce additional criteria focused around the need to demonstrate that a program has the necessary administrative protocols and procedures in place to operate smoothly.	

FCPF Carbon Fund Meth Framework Indicator 38.1: Based on national needs and circumstances, the ER Program host country has made a decision whether to maintain its own national ER transaction registry, or instead to use a centralized ER transaction registry managed by a third party on its behalf.	
Comparable VCS JNR or AFOLU Requirement(s):	
VCS project database and associated registries.	
Potential gap between a VCS compliant program and an MF indicator:	Fully compatible
The VCS Registry System has a secure platform where credits can be assigned unique serial numbers allowing any project/program and any credit to be searched for and tracked online. The VCS registry system is an expandable system where multiple registry operators connect directly to the central VCS project database. At present, APX and Markit are the two registry operators that work with VCS. VCS	

generated credits (VCUs) would be added to one of these two registries at issuance.	
Gaps or issues	
○ None	
Potential JNR revisions to consider to facilitate harmonization	
○ NA	

FCPF Carbon Fund Meth Framework Indicator 38.2: The national or centralized ER transaction registry reports ERs for the Carbon Fund using the accounting methods and definitions described above in the MF.	
Comparable VCS JNR or AFOLU Requirement(s):	
JNR Requirements:	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
It is not clear exactly what the specific "accounting methods and definitions" the MF indicator is referring to. However, the VCS registries are professional third party registries that operate according to standard registry principles.	
Gaps or issues	
○ It is not clear exactly what the specific "accounting methods and definitions" the MF indicator requires registries to adhere to.	
Potential JNR revisions to consider to facilitate harmonization	
○ **VCS Action:** The VCS should clarify with the Carbon Fund exactly what accounting methods the registry must adhere to in order for them to be prepared for the independent audit (see MF 38.3 below).	

FCPF Carbon Fund Meth Framework Indicator 38.3: An independent audit report certifying that the national or centralized ER transaction registry performs required functions is made public.	
Comparable VCS JNR or AFOLU Requirement(s):	
NA	
Potential gap between a VCS compliant program and an MF indicator:	NA

An independent audit report will be needed to certify that the VCS registries are performing the required functions.
Gaps or issues
○ The VCS registries will not yet have been audited to check they are performing the required functions.
Potential JNR revisions to consider to facilitate harmonization
○ An independent audit report will be needed to certify that the VCS registries are performing the required functions.

FCPF Carbon Fund Meth Framework Indicator 38.4: Operational guidance exists, or is in advanced stage of preparation, that clarifies the roles and responsibilities of entities involved in the national or centralized ER transaction registry, as well as rules for operation of the registry.	
Comparable VCS JNR or AFOLU Requirement(s):	
NA	
Potential gap between a VCS compliant program and an MF indicator:	Likely compatible
The registries are already in operation for VCS projects, so should have operational guidelines. However, these may or may not be up to date with respect to JNR programs.	
Gaps or issues	
○ The registry may not yet have updated operational guidelines to handle JNR programs and related projects.	
Potential JNR revisions to consider to facilitate harmonization	
VCS action: The VCS should ensure that the registries have updated operational guidelines capable of handling JNR programs and related projects.	

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